IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT - 1

ITEM No.132

C.P.(CAA)/60(AHM)2022 in
C.A.(CAA)/19(AHM)2022

Order under Section 230-232 of Co.Act, 2013

IN THE MATTER OF:

Jay Chemical Industries Pvt Ltd
Jay Infa Trade Pvt Ltd
Jaykon Industries Pvt Ltd

.....Applicant

Order delivered on: 03/01/2023

Coram:

Dr. Madan B. Gosavi, Hon'ble Member(J)
Mr.Kaushalendra Kumar Singh, Hon'ble Member(T)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

The case is fixed for pronouncement of the order. The order is pronounced in the open court, vide separate sheet.

-SD-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

-SD-

DR. MADAN B GOSAVI
MEMBER (JUDICIAL)

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD BENCH
AHMEDABAD
COURT-1

C.P. (CAA) No. 60(AHM)/2022
IN
C.A.(CAA) No. 19(AHM)/2022

[An Application filed under Section 230-232 of the Companies Act, 2013 read with the Companies (Compromise, Arrangement and Amalgamation) Rules, 2016]

In the matter of:

Jay Chemical Industries Private Limited
(Formerly known as Jay Chemical Industries Limited)
(CIN: U24119GJ2000PTC037683)
A company registered under the Companies Act, 1956
Having its registered office at:
Jay House, Nr. Saffron Building,
Panchvati, Ellisbridge, Ahmedabad,
Gujarat, India – 380 006

...Petitioner Company 1
Transferee Company/Demerged Company

Jay Infa Trade Private Limited
(CIN: U51909GJ1990PTC014227)
A company registered under the Companies Act, 1956
Having its registered office at:
Jay House, Nr. Saffron Building,
Panchvati, Ellisbridge, Ahmedabad,
Gujarat, India – 380006

...Petitioner Company 2
Transferor Company

Jaykon Industries Private Limited
(CIN: U24304GJ2017PTC097514)
A company registered under the Companies Act, 2013
Having its registered office at:
Jay House, Nr. Saffron Building,
Panchvati, Ellisbridge, Ahmedabad,
Gujarat, India - 380006

...Petitioner Company 3
Resulting Company

Order delivered on: 3rd January, 2023

Coram: Dr. Madan B. Gosavi, Member (Judicial)
Kaushanlendra Kumar Singh, Member (Technical)

Appearance:

Mr. Navin Pahwa, Ld. Sr. Adv. a.w. Mr. Ravi Pahwa, Ld. Adv. for the Petitioner Companies.

Mr. Liladhar Sharma, Assistant Director for the Regional Director.

Ms. Pankti Shah, Ld. Adv. for Ms. Maithili Mehta, Ld. Adv. for the Income Tax Department.

ORDER

1. This present joint petition is filed under Sections 230-232 of the Companies Act, 2013 seeking sanction of a Composite Scheme of Arrangement between Jay Chemical Industries Private Limited (Petitioner Company No. 1) (formerly known as Jay Chemical Industries Limited), Jay Infa Trade Private Limited (Petitioner Company No. 2) and Jaykon Industries

Private Limited (Petitioner Company No. 3) and their respective shareholders and creditors for:

(i) The amalgamation of Jay Infa Trade Private Limited (Petitioner Company No.2/Transferor Company) into Jay Chemical Industries Private Limited (Formerly known as Jay Chemical Industries Limited) (Petitioner Company No.1/Transferee Company), on a going concern basis;

(ii) Demerger of the Construction Chemical Division (as defined in the Scheme) of Jay Chemical Industries Private Limited (formerly known as Jay Chemical Industries Limited) (Petitioner Company No.1/Demerged Company) into Jaykon Industries Private Limited (Petitioner Company No.3/Resulting Company), on a going concern basis;

2. The averments made by the Petitioner Companies are summarized as under:

(i) An application bearing no. CA (CAA) 19/NCLT/AHM/2022 was filed by the Petitioner Companies seeking directions for convening and holding of the meetings of the Equity Shareholders of all the Petitioner Companies, the Secured and Unsecured Creditors of Petitioner Company No.1 and the Unsecured Creditors of the Petitioner Company No.2, while seeking declaration that since there are no Secured Creditors in Petitioner Company No.2 and there are no Secured and

Unsecured Creditors in the Petitioner Company No.3, the question of holding any meetings of Secured Creditors of Petitioner Company No. 2 and the Secured and Unsecured Creditors of the Petitioner Company No.3, would not arise and accordingly was not required to be convened.

(ii) This Tribunal vide order dated 21.06.2022 was pleased to allow the First Motion application and directed to convene and hold individual meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of Petitioner Company No. 1, meetings of Equity Shareholders and Unsecured Creditors of Petitioner Company N. 2 and meeting of Equity Shareholders of Petitioner Company No. 3 on 30.07.2022 along with other ancillary directions. This Tribunal held that since there are no Secured Creditors in Petitioner Company No. 2 and no Secured Creditors and Unsecured Creditors in Petitioner Company No. 3, hence, the convening of meeting of Secured Creditors of Petitioner Company No. 2 and meetings of Secured Creditors and Unsecured Creditors in Petitioner Company No. 3 is not required.

(iii) This Tribunal appointed Shri Trupal J. Patel, Chartered Accountant and in his absence Shri Sanjay Shah, Chartered Accountant as the Chairperson of the said meetings.

(iv) This Tribunal further directed to the Petitioner Companies to issue notice to the meetings to the Statutory Authorities viz. the Central Government through Regional Director, North Western Region, the Registrar of Companies, concerned Income Tax Authority and Official Liquidator (in case of Petitioner Company No. 2) and also directed to publish the notice of meeting in English Daily 'Business Standard' and in Gujarati Daily 'Jai Hind', both in Ahmedabad Edition.

(v) The Petitioner Companies have complied with the aforesaid order of this Tribunal and served the notice to the Statutory Authorities viz. the Central Government through Regional Director, North Western Region, the Registrar of Companies, concerned Income Tax Authority and Official Liquidator and published the notice of meetings in the Newspaper as directed by this Tribunal and filed the service affidavit before this Tribunal.

(vi) Apropos to the order dated 21.06.2022, the Chairman convened the meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors on 30.07.2022 of the Petitioner Company No. 1, meetings of Equity Shareholders and Unsecured Creditors of the Petitioner Company No. 2 was convened on 30.07.2022 and meeting of Equity Shareholders of the Petitioner Company No. 3 was held on 30.07.2022.

The Chairman appointed for the aforesaid meeting has filed its report with respect to the meeting conducted for respective stakeholders of the Petitioner Companies as directed by this Tribunal, wherein, it is stated that notices were sent to the shareholders of all the Petitioner Companies and Secured Creditors of the Petitioner Company No. 1 and Unsecured Creditor of the Petitioner Companies Nos. 1 & 2. As per the report, 6 Equity Shareholders have present in the meeting and voted in favour of proposed scheme and none of the shareholders has voted against the proposed scheme and 4 Secured Creditors of the Petitioner Company No.1 present and voted in favour of the proposed scheme is 100% votes. The total 16 Unsecured Creditors of the Petitioner Company No. 1 present and voted for the proposed scheme of arrangement and none of them voted against the proposed scheme.

With respect to the result of meeting of the Petitioner Company No. 2, Four Equity Shareholders were present and voted in favour of the proposed scheme i.e. 100% voting and both the Unsecured Creditors have presented and voted in favour of the proposed scheme.

With respect to the meeting of the respective Stakeholders of the Petitioner Company No. 3, Six Equity Shareholders have presented and voted in favour of the proposed scheme which is 100% votes. Hence, on considering the aforesaid meeting, it appears that the proposed scheme has been approved by the 100%

respective shareholders and Creditors who presented and voted.

3. Thereafter, the Petitioner Companies filed present petition bearing no. CP (CAA) No. 60 of 2022 on 05.09.2022 and this Tribunal vide an order dated 12.09.2022 admitted the present petition and directed the Petitioner Companies to publish the notice of hearing in English Daily **'Business Standard'** and in Gujarati Daily **'Jai Hind'**, both in Ahmedabad Edition. This Tribunal further directed the Petitioner Companies to serve notice of hearing of petition to the Statutory Authorities viz. the Regional Director, the Registrar of Company, the concerned Income Tax Authority and the Official Liquidator. The Petitioner Companies complied with the aforesaid directions of this Tribunal and filed the Affidavit of service to the Statutory Authorities as well as the publication of the notice.

4. In response to the notice received from the Petitioner Companies the Regional Director filed its observations on 31.10.2022 along with the report of Registrar of Companies wherein the following observations have been made:-

(a) At para 2(d) the Regional Director has observed that the Petitioner Company No.3 have Rs.1,00,000/- Authorized Share Capital divided into 10,000/- Equity Shares of Rs.10/- each and in the proposed scheme, the shares of Petitioner Company No.3 (Resulting Company) will be issued to the shareholders of the Petitioner

Company No.1 (Demerged Company). However, the Authorized Share Capital of the Petitioner Company No.3 is not sufficient to issue the shares to the Petitioner Company No.1, hence, it is required to enhance the Share Capital of Petitioner Company No. 3 (Resulting Company) up to Rs.57,33,600/- approximately and the Petitioner Company No. 3 is required to comply with the relevant provisions of the companies Act, 2013 for increase in authorized share capital. Hence, the Regional Director has prayed from this Tribunal to direct the Petitioner Company No. 3 (Resulting Company) to comply of the provisions of Section 61 of the Companies Act, 2013.

In response to this observation, the Petitioner Companies in its Clarificatory affidavit have stated that the Resulting Company undertakes to comply with the provisions of Section 61 of the Companies Act, 2013 and pay the stamp duty, registration fee, etc. to the applicable extent.

(b) At para 2(e), the Regional Director has observed that as per clause 14.1 of the scheme, the authorized share capital of the Petitioner Company No. 2 will be added in the authorized share capital of the Petitioner Company No. 1 in this regard Section 232(3)(i) of the Companies Act, 2013 is required to be complied with the Petitioner Company No. 1 and the Petitioner Company No. 2 will be required to pay the difference of amount of fees which is payable on the enhanced Authorized Share Capital.

In response to this observation the Petitioner Companies in its Clarificatory affidavit has undertaken to comply the provisions of Section 232 (3)(i) of the Companies Act, 2013 to the applicable extent.

(c) At para 2 (h)(1), the Regional Director has observed that the ROC in its observations stated that as per clause 14 of order dated 21.06.2022 of this Tribunal, the Petitioner Company No. 1 have 04 Secured Creditors whereas as per the Index of Charge available under the MCA's website, the Petitioner Company No. 1 have only 02 open Secured Charge ID in favor of 01 Secured Creditor namely PNB Investment Services Limited amounting of Rs.325.60 Crores each. Further, as per clause 16 of the order dated 21.06.2022 of this Tribunal, there is no Secured Creditor in the Petitioner Company No. 2 whereas as per the Index of Charge available under the MCA's website, the Petitioner Company No. 2 have 01 open Secured Charge ID in favor of 01 Secured Creditor namely, PNB Investment Services Limited amount of Rs.325.60 Crores. It seems that both the aforesaid companies have not filed creation/satisfaction of charge as per the requirement of Section 77/Section 88 of the Companies Act, 2013 r.w. Rule 3/Rule 8 of the Companies (Register of Charges) Rules, 2014 from time to time as the case may be. Hence, the Regional Director has prayed with this Tribunal to both the aforesaid companies to place the facts on record.

In this response, the Petitioner Companies in their Clarificatory affidavit has stated that with respect to the Petitioner Company No. 1 there are 04 Secured Creditors and there is no Secured Creditor in the Petitioner Company No. 2. Moreover, the Petitioner Companies undertake to comply with the Section 77/88 of the Companies Act, 2013.

(d) The Regional Director at clause 2 (h)(2) has stated that at clause 14 of the scheme it is mentioned that upon the scheme becoming effective, the authorized share capital of the Petitioner Company No. 2 will get amalgamated with that of the Petitioner Company No. 1 without payment of any additional fees and duties. The Authorized Share Capital of the Transferee Company will automatically stand increased to that effect by simply filing the requisite forms with the Registrar of Companies and no separate procedure or instrument or deed or payment of any stamp duty and registration fees shall be required to be followed under the Act. The Regional Director, in this regard has prayed for this Tribunal to direct the Petitioners comply with Section 232 (3)(i) of the Companies Act, 2013 and pay the differential fee, if any, after setting off the fee already paid by the Petitioner Companies on its Authorized Share Capital.

In response to this Tribunal, the Petitioner Companies have undertaken to comply with the relevant

provisions of law with respect to enhancement of Authorized Share Capital.

(e) The Regional Director at para 2 (h)(3) has stated that as per clause 22.1 of the scheme, the Resulting Company shall without any further application or deed, issue and allot shares, credited as fully paid up, to all the equity shareholders of the Demerged Company whose names appear in the Register of Members of Demerged Company as on the record Date 2 (as defined in the scheme), except where Resulting Company itself is a shareholders of the Demerged Company. The ratio of allotment of shares to the shareholders of the Demerged Company of shares of Resulting Company which is this wise:-

> "1 (One) equity shares of Resulting Company of Rs.10/- each fully paid up for every 100 (One Hundred) equity shares of the Demerged Company of Rs.10/- each fully paid up."

Therefore, the Authorized Share Capital of the Resulting Company is not sufficient for the purpose of mentioned above. Hence, the Resulting company shall be required to comply with the provisions of Section 61 r.w. Section 64 of the Companies Act, 2013 and filed the necessary e-form to increase its authorized share capital under the MCA portal along with payment of fee/additional fee and necessary stamp fee as applicable.

In response to this observation of the Regional Director the Petitioner Companies in its Clarificatory affidavit have undertaken to comply with Section 61 r.w. Section 64 of the Companies Act, 2013.

5. In response to the notice received from the Petitioner Companies the Official Liquidator filed its observation before this Tribunal on 15.09.2022 wherein no adverse observations/representations have been made by the Official Liquidator. However, at para 23 and 24 of its observation, the Official Liquidator has prayed for this Tribunal to direct the Transferee Company (M/s. Jay Chemical Industries Private Limited) to preserve books of accounts, papers and records of the Petitioner Company No. 2 and shall not be disposed of without prior permission of Central Government as required under Section 239 of the Companies Act, 2013. The Official Liquidator further prayed from this Tribunal to direct the Transferor Company to ensure statutory compliance of all applicable laws.

The Petitioner Companies in its Clarificatory affidavit have undertaken to comply with the aforesaid observations of the Official Liquidator.

6. The Income Tax Department has filed its observation wherein it is stated that the following amount are outstanding with respect to Petitioner Company No. 1 and there are no

outstanding dues with respect to the Petitioner Company No. 2 and 3. The demand received by the Income Tax Department are reproduced hereunder: -

Sr. no.	AY.	Demand section	Date of order	Demand outstanding (in Rs.)	Amount difficult to recover (in Rs.)	Amount: collectible (in Rs.)
1	2010-11	154 rws 250	05.03.2021	28,68,455	0	28,68.455
2	2011-12	254	17.02.2020	8,930	0	8,930
3	2014-15	154 rws 143(3)	04.30.2021	3,23,94,143	0	3,23,94,143
4	2015-16	154	12.02.2019	6,00,61,720	6.00,61,720	0
5	2016-17	271AA	29.06.2019	41,56,005	0	41,56,005
6	2016-17	143(3)	27.01.2020	1,09,22,430	0	1,09,22,430
7	2018-19	143(3)	23.04.2021	1,05,53,200	0	1,05.53,200
8	2019-20	1431a	13.11.2020	32,480	0	32,480
9	2020-21	1431a	23.12.2021	3,69,410	0	3,69.410

In view of the above, the Income Tax Department has prayed for this Tribunal to consider the claim of Department before finalizing of this petition.

The Petitioner Companies in its Clarificatory affidavit in response to the observation of Income Tax Department have stated that the Petitioner Company No. 1 is yet to receive the computation except as outstanding amount for Serial No. 8 for all other demands raised by Income Tax Authority. The Petitioner Company No. 1 has either paid the outstanding dues or filed Appeals/Stay application which are pending for this Adjudication. The details of the pending appeal/stay/payment of outstanding claim of Income Tax Department are as under: -

Sr. No.	AY.	Demand Section	Date of Order	Demand Outstanding (in Rs.)	Amount difficult to Recover (in Rs.)	Amount Collectible (in Rs.)	Status	Revised Demand as per Income Tax portal
11	2010-11	154 r/w. 250	05.03.2021	28,68,455	0	28,68,455	Settled in Vivad Se Vishwas Scheme.	13,25,174
12	2011-12	254	17.02.2020	8930	0	8930	PAID in November 2022	0
3	2014-15	154 r/w. 143(3)	30.04.2021	3,23,94,143	0	3,23,94,143	Appeal filed. Pending with C1T(A)	1,16,18,370
4	2015-16	154	12.02.2019	6,00,61,720	6,00,61,720	0	Appeal filed. Pending with C1T(A)	6,00,61,720
5	2016-17	271AA	29.06.2019	41,56.005	0	41,56.005	Appeal filed. Pending with C1T(A)	41,56,005
6	2016-17	143(3)	27.01.2020	1,09,22,430	0	1,09,22,430	Appeal filed. Pending with C1T(A)	1.09,22,430
7	2018-19	143(3)	23.04,2021	1,05,53,200	0	1,05,53,200	Appeal filed. Pending with CIT(A)	1,05,53,200
8	2019-20	1431a	13.11.2020	32,480	0	32,480	Computation is not received.	32,480
9	2020-21	1431a	| 23.12.2021	3,69,410	0	3,69,410	Appeal filed. Pending with C1T(A)	23,83,780

Moreover, after approval of the scheme by this Tribunal the Petitioner Demerged Company would not be absolved from its liability. Therefore, no prejudice is likely to be cause to the Income Tax Department.

7. No other observations have been received from any other Statutory Authorities.

8. In compliance of the proviso to sub-section 7 of Section 230 of the Companies Act, 2013, the Petitioner Companies have placed on record the certificate(s) of the Chartered Accountant respectively confirming that the accounting treatment

envisaged under the Scheme is in compliance with the applicable accounting standards notified by the Central Government in Section 133 of the Companies Act, 2013.

9. On considering the approval accorded by the members and creditors of the petitioner companies to the proposed scheme and the affidavits/representation filed by the respective statutory authorities, there appears no impediment in sanctioning the present Scheme. Consequently, the sanction is hereby granted to the proposed scheme annexed with this order at Annexure-A. The petitioners shall however remain bound to comply with the statutory requirements in accordance with law.

10. Notwithstanding the above, if there is any deficiency found or violation committed qua enactment, statutory rule or regulations, the sanction granted by this Tribunal to the Scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioner companies.

11. While approving the Scheme as above, we further clarify that this order shall not be construed as an order granting any exemption from payment of stamp duty, taxes including Income Tax, GST, etc. or any other charges, if any and payment in accordance with law or in respect of any permission/ compliance with any other requirement which may be specifically required under any law.

12. On the basis of above facts and submissions made by the Learned Senior Counsel and after considering the entire facts and circumstances of the aforesaid company petition and on perusal of the scheme and the provisions, it appears that the requirements of provisions of Section 230 and 232 are satisfied by the Petitioner Companies. We are of the considered view that the proposed Scheme of Arrangement is bonafide and in the interest of all the shareholders and creditors. In the result, Company Petition No. CP (CAA) 60 of 2022 is allowed. The scheme envisaging Scheme of Arrangement between Jay Chemical Industries Private Limited (formerly known as Jay Chemical Industries Limited), Jay Infa Trade Private Limited and Jaykon Industries Private Limited and their respective shareholders and creditors is hereby sanctioned. It is declared that the sanctioned scheme shall be binding on the petitioner companies and their shareholders, creditors and all concerned under the Scheme.

13. Accordingly, we allow this petition with followings directions:-

ORDER

(i) The Scheme of Arrangement as annexed herewith as **Annexure-A** is hereby sanctioned and is declared that the same shall be binding on the petitioner companies and their shareholders and creditors and all concerned under the Scheme;

(ii) The Transferor Company shall be dissolved without winding up and the Board of Directors and any committees thereof of the Transferor Company shall without any further act, instrument or deed shall stand dissolved;

(iii) All the property right and powers of the Transferor Company specified in the schedule hereto and all the other property, rights and powers of the Transferor Company be transferred without further act or deed to the Transferee Company in accordance with the Scheme and accordingly the same shall pursuant to Section 232 of the Act, shall stand transferred to and vest in the Transferee Company in accordance with the Scheme for all the estate and interest of the Transferor Company therein but subject nevertheless to all charges now affecting the same.

(iv) All the property, right and powers of the Demerged Undertaking of the Demerged Company specified in the Scheme and all the other property, rights and powers of the Demerged Undertaking of the Demerged Company be transferred without further act or deed to the Resulting Company in accordance with the Scheme and accordingly the same shall pursuant to Section 232 of the Act, shall stand transferred to and vest in the Resulting Company in accordance with the Scheme for all the estate and interest of the Demerged Undertaking of the Demerged Company

therein but subject nevertheless to all charges now affecting the same.

(v) All licenses, permissions, permits, quotes, approvals, certificates, clearances, authorities, leases, tenancy, assignments, rights, claims, liberties, other benefits or privileges relating to the Transferor Company stand transferred to and vested in the Transferee Company in accordance with the Scheme, without any further act or deed and be in full force and effect in favour of the Transferee Company, as if the same were originally given to, issued to or executed in favour of the Transferee Company. The Transferee Company shall be bound by the terms thereof, the obligations and duties there under, and the rights and benefits under the same shall be available to the Transferee Company.

(vi) All licenses, permissions, permits, quotes, approvals, certificates, clearances, authorities, leases, tenancy, assignments, rights, claims, liberties, other benefits or privileges relating to the Demerged Undertaking of the Demerged Company stand transferred to and vested in the Resulting Company in accordance with the Scheme, without any further act or deed and be in full force and effect in favour of the Resulting Company, as if the same were originally given to, issued to or executed in favour of the Resulting Company. The Resulting Company shall be bound by the terms thereof, the obligations and duties

there under, and the rights and benefits under the same shall be available to the Resulting Company.

(vii) All proceedings, if any, now pending or against the Transferor Company/Demerged Undertaking of the Demerged Company be continued by or against the Transferee Company/Resulting Company. All taxes paid or payable by all the Transferor Company/Demerged Undertaking of the Demerged Company and all existing and future incentives, un-availed credits and exemption, benefit of carried forward losses and other statutory benefits, to which the Transferor Company/Demerged Undertaking of the Demerged Company are entitled to, shall be available to and vest in the Transferee Company/Resulting Company.

(viii) All contracts, agreements, undertakings, insurance policies, bonds and all other instruments of whatsoever nature or description, of all the Transferor Company/ Demerged Undertaking of the Demerged Company, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company/Resulting Company in accordance with the Scheme and be in full force and effect in favor of the Transferee Company/ Resulting Company as the case may be and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company/Demerged Undertaking of the Demerged

Company, the Transferee Company/Resulting Company had been a party or beneficiary or obliged thereto.

(ix) All workers/employees of all the Transferor Company/Demerged Undertaking of the Demerged Company shall be deemed to become the workers/employees of the Transferee Company/ Resulting Company with effect from the Appointed Date, and shall stand absorbed in the Transferee Company/Resulting Company in accordance with the Scheme without any interruption of service and on term and conditions no less favorable than those on which they are engaged by the Transferor Company/Demerged Undertaking of the Demerged Company, as on the Effective Date.

(x) The following considerations would be paid to the issued and paid-up-share capital to the shareholders of the Transferor Company and the shareholders of Demerged undertaking of the Demerged Company:-

"35 (thirty five) equity shares of the Petitioner Company No.1 (Jay Chemical Industries Private Limited) of Rs.10/- each fully paid up for every 2 (two) equity shares of the Petitioner Company No. 2 (Jay Infa Trade Private Limited) of Rs.10/- each fully paid up."

"1 (One) equity shares of the Petitioner Company No.3 (Jaykon Industries Private Limited) of Rs. 10/- each

fully paid up for every 100 (One Hundred) equity shares of the Petitioner Company No.1 (Jay Chemical Industries Private Limited) of Rs.10/- each fully paid up.

(xi) All concerned Authorities to act on copy of this order along with the Scheme authenticated by the Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme immediately.

(xii) The Petitioner Companies are directed to lodge a copy of this Order and the approved Scheme and Schedule of Assets of the Transferor Company/Demerged Undertaking of the Demerged Company attached as **Annexure-B** with this order, duly authenticated by the Registrar of this Tribunal, with the concerned Superintendent of Stamps, for the purpose of adjudication of stamp duty, if any, within 60 days from the date of the Order.

(xiii) The Petitioner Companies are further directed to file a copy of this order along with the copy of the Scheme with the concerned Registrar of Companies, electronically, along with e-form INC-28 in addition to physical copy within 30 days from the date of issuance of the certified copy of the Order by the Registry as per relevant provisions of the Act.

(xiv) The legal fees and expenses of the office of the Regional Director are quantified at Rs.10,000/-in respect

of each of the petitioner companies. The said fees to the Regional Director shall be paid by the Transferee Company.

(xv) The legal fees and expenses of the office of the Official Liquidator are quantified at Rs.10,000/- in respect of the petitioner Transferor Company. The said fees to the Official Liquidator shall be paid by the Transferee Company.

(xvi) Any person aggrieved shall be at liberty to apply to the Tribunal in the above matter for any direction that may be necessary.

14. The **C. P. (CAA) No. 60 of 2022 in C. A. (CAA) No. 19 of 2022** stands allowed and disposed of accordingly.

-SD- -SD-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

DR. MADAN B GOSAVI
MEMBER (JUDICIAL)

Swetambary/Ramashish

Annexure-A

Anx-K

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COMPOSITE SCHEME OF ARRANGEMENT

AMONGST

JAY CHEMICAL INDUSTRIES PRIVATE LIMITED

AND

JAY INFA TRADE PRIVATE LIMITED

AND

JAYKON INDUSTRIES PRIVATE LIMITED

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

UNDER SECTIONS 230 TO 232 AND OTHER APPLICABLE PROVISIONS OF THE COMPANIES ACT, 2013

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A. BACKGROUND OF THE COMPANIES

(i) **Jay Chemical Industries Private Limited** (Formerly known as Jay Chemical Industries Limited) is a private limited company incorporated under the provisions of the Companies Act, 1956 bearing corporate identification number U24119GJ2000PTC037683, now repealed and replaced by the Companies Act, 2013, having its registered office at Jay House, Nr. Saffron Building, Panchvati, Ellisbridge, Ahmedabad, Gujarat, India - 380006. **Jay Chemical Industries Private Limited** (Formerly known as Jay Chemical Industries Limited) has been set up primarily to engage in the business of manufacturing of reactive dyes, auxiliaries, construction chemical (hereinafter referred to as **"JCIPL"** or **"Transferee Company"/ "Demerged Company"**).

(ii) **Jay Infa Trade Private Limited** is a private limited company incorporated under the provisions of the Companies Act, 1956, now repealed and replaced by the Companies Act, 2013, bearing corporate identification number U51909GJ1990PTC014227, having its registered office at Jay House, Nr. Saffron Building, Panchvati, Ellisbridge, Ahmedabad, Gujarat, India - 380006. Jay Infa Trade Private Limited has been set up primarily to engage in the business as an holding and investment company and to purchase or otherwise, underwrite, invest in, acquire, hold trade or deal in immovable and movable properties of all kinds in any part of the country and in particular lands, building, etc. (hereinafter referred to as the **"JITPL"** or **"Transferor Company"**).

(iii) **Jaykon Industries Private Limited** is a company incorporated under the provisions of the Companies Act, 2013, bearing corporate identification number U24304GJ2017PTC097514, having its registered office at Jay House, Nr. Saffron Building, Panchvati, Ellisbridge, Ahmedabad, Gujarat, India - 380006. It is engaged in the business of manufacturing all kinds of construction chemicals (hereinafter referred to as the **"JIPL" and/or "Resulting Company"**).

B. PREAMBLE

This Composite Scheme of Arrangement ('the Scheme') is presented under Sections 230 to 232 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013 (including any statutory modifications and re-enactments thereof) and the rules and regulations made thereunder, as may be applicable for:

(i) Amalgamation of Jay Infa Trade Private Limited into Jay Chemical Industries Private Limited, on a going concern basis;

(ii) Demerger of the Construction Chemical Division (as defined hereinafter) of Jay Chemical Industries Private Limited (Formerly known as Jay Chemical Industries Limited) into Jaykon Industries Private Limited, on a going concern basis; and

The Scheme also provides for various other matters consequential or otherwise integrally connected herewith.

C. RATIONALE OF THE SCHEME

(i) The present arrangement would result in the following benefits for the abovementioned companies:

- Elimination of cross holdings and intercompany transactions to simplify the shareholding and reduce administrative costs.
- Reduction of overhead and other expenses, consolidation of business under one roof and facilitate administrative convenience on account of reduction in number of entities and reduced compliance thereof.
- Greater efficiencies in operations with optimum utilization of resources, increased cost saving and expected to flow from focused operational efforts, rationalization, standardization and simplification of business process and optimum utilization of resources.

(ii) The Scheme is in the best interests of the shareholders, employees and the creditors of all the Companies;

(iii) The Scheme does not have any adverse effect on either the shareholders, the employees or the creditors of any of the companies. The Boards of Directors of the companies believe that the Scheme would ensure benefit to all the stakeholders and will enhance the value for all shareholders / promoters.

D. PARTS OF THE SCHEME

The Scheme is divided into the following parts:

(i) **PART I** deals with the definitions of capitalized terms used in this Scheme and the details of the share capital of the Transferor Company, Transferee Company/ Demerged Company and the Resulting Company;

(ii) **Part II** deals with the amalgamation of the Transferor Company into the Transferee Company ;

(iii) **PART III** deals with the transfer and vesting of the Demerged Undertaking from the Demerged Company as a *going concern* into the Resulting Company and discharge of consideration in lieu thereof, pursuant to the provisions of Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 ;

(iv) **PART IV** deals with the general terms and conditions that would be applicable to this Scheme.

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PART I

DEFINITIONS AND SHARE CAPITAL

DEFINITIONS

In this Scheme, unless inconsistent with the subject or context thereof (i) capitalized terms defined by inclusion in quotations and/ or parenthesis have the meanings so ascribed; (ii) all terms and words not defined in this Scheme shall have the meaning ascribed to them under the relevant Applicable Laws; and (iii) the following expressions shall have the meanings ascribed hereunder:

"**Act**" means the Companies Act, 2013, to the extent of the provisions notified, and the Companies Act, 1956, to the extent of its provisions in force;

"**Appointed Date**" means close of business hours of 1st April, 2022 or such other date as may be approved by the Tribunal and agreed to by the Board of the Parties;

"**Applicable Law**" or "**Law**" means any applicable national, foreign, provincial, local or other law including applicable provisions of all (a) constitutions, decrees, treaties, statutes, laws (including the common law), codes, notifications, rules, regulations, policies, guidelines, circulars, directions, directives, ordinances or orders of any Appropriate Authority, statutory authority, court, tribunal having jurisdiction over the Parties; (b) approvals; and (c) orders, decisions, injunctions, judgments, awards and decrees of or agreements with any Appropriate Authority having jurisdiction over the Parties as may be in force from time to time;

"**Appropriate Authority**" means:

the government of any jurisdiction (including any national, state, municipal or local government or any political or administrative subdivision thereof) and any department, ministry, agency, instrumentality, court, tribunal, central bank, commission or other authority thereof; any public international organization or supranational body and its institutions, departments, agencies and instrumentalities; and any governmental, quasi-governmental or private body or agency lawfully exercising, or entitled to exercise, any administrative, executive, judicial, legislative, regulatory, licensing, competition, tax, importing, exporting or other governmental or

quasi-governmental authority;

"**Board**" in relation to the Transferor Company, Transferee Company/ Demerged Company and the Resulting Company as the case may be, means the board of directors of such company, and shall include a committee of directors or any person authorized by such board of directors or such committee of directors duly constituted and authorized for the purposes of matters pertaining to this Scheme or any other matter relating thereto;

"Demerger" means transfer and vesting of the Demerged Undertaking from JCIPL to JIPL, pursuant to the provisions of Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 and in accordance with Part-III of the Scheme;

"**Demerged Company**" in relation to Part-III of the Scheme means **Jay Chemical Industries Private Limited**, a company incorporated under the provisions of the Companies Act, 1956, having its registered office at Jay House, Nr. Saffron Building, Panchvati, Ellisbridge, Ahmedabad, Gujarat, India - 380006.

"**Demerged Undertaking and/or Construction Chemical Undertaking**" means the undertaking with all business units, assets, properties, and liabilities of whatsoever nature and kind, and wherever situated, of the Demerged Company, in relation to and pertaining to the Construction Chemical Undertaking to be transferred to the Resulting Company and shall include without limitation:

(a) all assets and liabilities of the Demerged Company pertaining to the Construction Chemical Undertaking;

(b) without prejudice to the generality of the provisions of (a) & (b) above, the Demerged Undertaking shall include:

(i) all properties and assets of the Demerged Company, including all movable or immovable, investments, freehold, leasehold or licensed, tenancy rights, hire purchase and lease arrangements, real or personal, corporeal or incorporeal or otherwise, present, future, contingent, tangible or intangible, security deposits, capital work in progress, easmentary rights, rights of way associated with developing such infrastructure and every associated right, plant and machinery, capital work in progress, furniture, fixtures, office equipment, appliances, accessories, vehicles, all stocks, sundry debtors, deposits, provisions, advances, recoverable, receivables, title, interest, cash and bank balances, bills of exchange, covenants, all earnest monies, , or other entitlements, funds, powers, authorities, licences, registrations, quotas, allotments, consents, privileges, liberties, advantages, all the rights, title, interests, goodwill, benefits, fiscal incentives, entitlement and advantages, contingent rights or benefits belonging to or in the ownership, power, possession or the control of or vested in or granted in favor of or held for the benefit of or enjoyed by the Demerged Company with respect to the Construction Chemical Undertaking;

(ii) all contracts, agreements, schemes, arrangements and any other instruments for the purpose of carrying on the business of the Construction Chemical Undertaking;

(iii) all tax credits, refunds, reimbursements, claims, concessions, exemptions, benefits under Tax Laws including sales tax deferrals and minimum alternate tax paid under section 115JB of the Income Tax Act, advance taxes, tax deducted at source, right to carry forward and set-off accumulated losses and unabsorbed depreciation, if any, deferred tax assets, minimum alternate tax credit, goods and service tax credit, deductions and benefits under the Income Tax Act with respect to the Construction Chemical Undertaking; and

(iv) all debts, borrowings and liabilities, whether present, future or contingent whether secured or unsecured, or deferred tax liabilities, of the Construction Chemical Undertaking including but not limited to all other debts, duties, obligations and liabilities pertaining to the Construction Chemical Undertaking.

(c) all Permits, licenses, approvals, registrations, quotas, incentives, powers, authorities, allotments, consents, rights, benefits, advantages, municipal permissions, trademarks, designs, copyrights, patents and other intellectual property rights of the Demerged Company pertaining to the Construction Chemical Undertaking, whether registered or unregistered and powers of every kind, nature and description whatsoever, whether from the government bodies or otherwise, pertaining to or relating to the Construction Chemical Undertaking;

(d) entire experience, credentials, past record and market share of the Demerged Company pertaining to the Construction Chemical Undertaking;

(e) all books, records, files, papers, engineering and process information, computer programs, software licenses (whether proprietary or otherwise), drawings, manuals, data, catalogues, quotations, sales and advertising materials, lists of present and former customers and suppliers, customer credit information, customer pricing information, and other records whether in physical or electronic form in connection with or relating to the Construction Chemical Undertaking; and

(f) all employees/workers of the Demerged Company engaged in the Construction Chemical Undertaking;

(g) Any question that may arise as to whether a specific asset (tangible or intangible) or liability or employee pertains or does not pertain to the Demerged Undertaking shall be decided mutually by the Boards of the Demerged Company and the Resulting Company.

"**Effective Date**" means the last of the dates on which all conditions, matters and filings referred to in Clause 35 hereof have been fulfilled or waived and necessary orders, approvals and consents referred to therein

have been obtained. References in this Scheme to the date of "**coming into effect of this Scheme**" or "**effectiveness of this Scheme**" or "**upon the Scheme becoming effective**" shall mean the Effective Date;

"**Encumbrance**" means (a) any charge, lien (statutory or other), or mortgage, any easement, encroachment, right of way, right of first refusal or other encumbrance or security interest securing any obligation of any Person; (b) pre-emption right, option, right to acquire, right to set off or other third party right or claim of any kind, including any restriction on use, voting, transfer, receipt of income or exercise; or (c) any hypothecation, title retention, restriction, power of sale or other preferential arrangement; or (d) any agreement to create any of the above; and the term "**Encumber**" shall be construed accordingly;

"**Income Tax Act**" means the Income-tax Act, 1961;

"**INR**" means Indian Rupee, the lawful currency of the Republic of India;

"**Parties**" means collectively the Transferor Company, Transferee Company/ Demerged Company and the Resulting Company and "**Party**" shall mean each of them, individually;

"**Permits**" means all consents, licences, permits, certificates, permissions, , rights, clarifications, approvals, clearances, confirmations, declarations, waivers, exemptions, registrations, filings, whether governmental, statutory, regulatory or otherwise as required under Applicable Law and includes all rights of way associated under Applicable Law or otherwise;

"**Person**" means an individual, a partnership, a corporation, a limited liability partnership, a limited liability company, an association, a joint stock company, a trust, a joint venture,

"Record Date 1" means such date to be fixed by the Board of Directors of JITPL in consultation with JCIPL for the purpose of determining the members of JITPL to whom shares of JCIPL will be allotted pursuant to this Scheme in terms of **Clause 10** of this Scheme;

"Record Date 2" means such date to be fixed by the Board of Directors of JIPL in consultation with JCIPL for the purpose of determining the members of JCIPL to whom shares of JIPL will be allotted pursuant to this Scheme in terms of **Clause 23** of this Scheme;

"Remaining Business" means the Demerged Company's Remaining Business;

"**Resulting Company**" in relation to Part-III of the Scheme means Jaykon Industries Private Limited, a company incorporated under the provisions of the Companies Act, 2013, having its registered office at Jay House, Nr. Saffron Building, Panchvati, Ellisbridge, Ahmedabad, Gujarat, India - 380006.

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

"**RoC**" means the Registrar of Companies having jurisdiction over the Transferor Company, Transferee Company/ Demerged Company and the Resulting Company, as the case may be;

"**Scheme**" or "**this Scheme**" means this composite scheme of arrangement as modified from time to time;

"**Taxation**" or "**Tax**" or "**Taxes**" means all forms of taxes and statutory, governmental, state, provincial, local governmental or municipal impositions, duties, contributions and levies, whether levied by reference to income, profits, book profits, gains, net wealth, asset values, turnover, added value, goods and service or otherwise and shall further include payments in respect of or on account of Tax, whether by way of deduction at source, collection at source, dividend distribution tax, advance tax, minimum alternate tax, goods and service tax or otherwise or attributable directly or primarily to Transferor Company, Transferee Company/ Demerged Company and the Resulting Company, as the case may be or any other Person and all penalties, charges, costs and interest relating thereto;

"**Tax Laws**" means all Applicable Laws dealing with Taxes including but not limited to income-tax, , sales tax / value added tax, service tax, goods and service tax, excise duty, customs duty or any other levy of similar nature;

"**Transferor Company and/or JITPL**" in relation to Part-II of the Scheme means **Jay Infa Trade Private Limited** a company incorporated under the provisions of the Companies Act, 1956, having its registered office at Jay House, Nr. Saffron Building, Panchvati, Ellisbridge, Ahmedabad, Gujarat, India - 380006.

"**Transferee Company and/or JCIPL**" in relation to Part-II of the Scheme means **Jay Chemical Industries Private Limited,** a company incorporated under the provisions of the Companies Act, 1956, having its registered office at Jay House, Nr. Saffron Building, Panchvati, Ellisbridge, Ahmedabad, Gujarat, India - 380006.

"**Tribunal**" means the Ahmedabad Bench of the National Company Law Tribunal.

In this Scheme, unless the context otherwise requires:

1.2.1 words denoting the singular shall include the plural and *vice versa* and words denoting any gender shall include all genders;

1.2.2 headings, subheadings, titles, subtitles to clauses, sub-clauses and paragraphs are for information and convenience only and shall not form part of the operative provisions of this Scheme and shall be ignored in construing the same;

1.2.3 the words "include" and "including" are to be construed without limitation;

1.2.4 reference to a clause, paragraph or schedule is a reference to a clause, paragraph or schedule of this Scheme;

1.2.5 reference to any law or legislation or regulation shall include

amendment(s), circulars, notifications, clarifications or supplement(s) to, or replacement, re-enactment, restatement or amendment of, that law or legislation or regulation and shall include the rules and regulations thereunder; and

1.2.6 References to days, months and years are to calendar days, calendar months and calendar years, respectively.

2. SHARE CAPITAL

2.1 The share capital of JCIPL as on 31st March 2021 is as under:

Particulars	Amount (Rs)
Authorised Capital	
600,00,000 Equity Shares of Rs.10 each	60,00,00,000
TOTAL	**60,00,00,000**
Issued, Subscribed and Paid up Capital	
5,73,35,960 Equity Shares of Rs.10 each fully paid up	57,33,59,600
TOTAL	**57,33,59,600**

2.2 The share capital of JITPL as at 31st March 2021 is as under:

Share Capital	Amount (In Rs.)
Authorised Share Capital	
1,00,000 Equity Shares of Rs. 10 each	10,00,000
TOTAL	**10,00,000**
Issued, subscribed and paid-up Share Capital	
64,520 Equity shares of Rs. 10 each, fully paid up	6,45,200
TOTAL	**6,45,200**

2.3 The share capital of JIPL as at 31st March 2021 is as under:

Share Capital	Amount (In Rs.)
Authorised Share Capital	
10,000 Equity Shares of Rs. 10 each	1,00,000
TOTAL	**1,00,000**
Issued, subscribed and paid-up Share Capital	
10,000 Equity shares of Rs. 10 each, fully paid up	1,00,000
TOTAL	**1,00,000**

3. DATE OF TAKING EFFECT AND IMPLEMENTATION OF THIS SCHEME

This Scheme in its present form or with any modification(s), as may be approved or imposed or directed by the Tribunal, shall become effective from the Appointed Date but shall be operative from the Effective Date.

PART II

AMALGAMATION OF THE TRANSFEROR COMPANY WITH THE TRANSFEREE COMPANY AND OTHER RELATED MATTERS

4 AMALGAMATION AND VESTING OF ASSETS AND LIABILITIES AND ENTIRE BUSINESS OF THE TRANSFEROR COMPANY.

4.1 With effect from the Appointed Date, and subject to the provisions of this Scheme and pursuant to Section 232 of the Act, the Transferor Company shall stand amalgamated with the Transferee Company as a going concern and all assets, liabilities, contracts, arrangements, employees, permits, licences, records, approvals, etc. of the Transferor Company shall, without any further act, instrument or deed, stand transferred to and vested in or be deemed to have been transferred to and vested in the Transferee Company, so as to become as and from the Appointed Date, the assets, liabilities, contracts, arrangements, employees, permits, licences, records, approvals, etc. of the Transferee Company by virtue of, and in the manner provided in this Scheme.

4.2 Without prejudice to the generality of the above and to the extent applicable, unless otherwise stated herein, with effect from the Appointed Date:

4.2.1 with respect to the assets of the Transferor Company that are movable in nature or are otherwise capable of being transferred by manual delivery or by paying over or endorsement and/ or delivery, the same may be so transferred by the Transferor Company by operation of law without any further act or execution of an instrument with the intent of vesting such assets with the Transferee Company as on the Appointed Date;

4.2.2 Subject to Clause 4.2.3 below, with respect to the assets of the Transferor Company, other than those referred to in Clause 4.2.1 above, including all rights, title and interests in the agreements (including agreements for lease or license of the properties), investment in shares of anybody corporate, fixed deposits, mutual funds, bonds and any other securities, sundry debtors, outstanding loans and advances, if any, recoverable in cash or in kind or for value to be received, cash and bank balances, earnest moneys and deposits, if any, with Government, semi-Government, local and other authorities and bodies, customers and other persons, whether or not the same is held in the name of the Transferor Company, shall, without any further act, instrument or deed, be transferred to and vested in and/ or be deemed to be transferred to and vested in the Transferee Company, with effect from the Appointed Date by operation of law as transmission, as the case may be, in favour of Transferee Company. With regard to the licenses of the properties, the Transferee Company will enter into novation agreements, if it is so required;

4.2.3 Without prejudice to the aforesaid, all the immovable property (including but not limited to the land, buildings, offices, factories, sites, tenancy rights related thereto, and other immovable property, including accretions and appurtenances), whether or not included in the books of the Transferor Company, whether freehold or leasehold (including but not limited to any other document of title, rights, interest and easements in relation thereto, and any shares in cooperative housing societies associated with such immoveable property) shall stand transferred to and be vested in the Transferee Company , as successor to the Transferor Company, without any act or deed to be done or executed by the Transferor Company, as the case may be and/ or the Transferee Company;

4.2.4 all debts, liabilities, duties and obligations (debentures, commercial paper, bonds, notes or other debt securities, loan from companies) of the Transferor Company shall, without any further act, instrument or deed be transferred to, and vested in, and/ or deemed to have been transferred to, and vested in, the Transferee Company, so as to become on and from the Appointed Date, the debts, liabilities, duties and obligations of the Transferee Company on the same terms and conditions as were applicable to the Transferor Company, and it shall not be necessary to obtain the consent of any Person who is a party to contract or arrangement by virtue of which such liabilities have arisen in order to give effect to the provisions of this Clause 4;

4.2.5 all the brands and trademarks (including logo and right to use the trademarks) of the Transferor Company including registered and unregistered trademarks along with all rights of commercial nature including attached goodwill, title, interest, labels and brand registrations, copyrights trademarks and all such other industrial and intellectual property rights of whatsoever nature shall be transferred to the Transferee Company. The Transferee Company shall take such actions as may be necessary and permissible to get the same transferred and/ or registered in the name of the Transferee Company;

4.2.6 the vesting of the entire undertaking of the Transferor Company, as aforesaid, shall be subject to the Encumbrances, if any, over or in respect of any of the assets or any part thereof, provided however that such Encumbrances shall be confined only to the relevant assets of Transferor Company or part thereof on or over which they are subsisting on and no such Encumbrances shall extend over or apply to any other asset(s) of Transferee Company. Any reference in any security documents or arrangements (to which Transferor Company is a party) related to any assets of Transferor Company shall be so construed to the end and intent that such security shall not extend, nor be deemed to extend, to any of the other asset(s) of Transferee Company. Similarly, Transferee Company shall not be required to create any additional security over assets vested under this Scheme for any loans, debentures, deposits or other financial assistance already availed of/ to be availed of by it, and the Encumbrances in

respect of such indebtedness of Transferee Company shall not extend or be deemed to extend or apply to the assets so vested;

4.2.7 on and from the Effective Date and till such time that the name of the bank accounts of the Transferor Company has been replaced with that of the Transferee Company, the Transferee Company shall be entitled to maintain and operate the bank accounts of the Transferor Company in the name of the Transferor Company and for such time as may be determined to be necessary by the Transferee Company. All cheques and other negotiable instruments, payment orders received or presented for encashment which are in the name of the Transferor Company after the Effective Date shall be accepted by the bankers of the Transferor Company and credited to the account of the Transferee Company, if presented by the Transferee Company; and

4.2.8 without prejudice to the foregoing provisions of Clause 4, the Transferor Company and/ or the Transferee Company shall be entitled to apply to the Appropriate Authorities as are necessary under any law for such consents, approvals and sanctions which the Transferee Company may require and execute any and all instruments or documents and do all the acts and deeds as may be required, including filing of necessary particulars and/ or modification(s) of charge, with the concerned RoC or filing of necessary applications, notices, intimations or letters with any authority or Person, to give effect to the above provisions.

4.3 This Scheme has been drawn up to comply with the conditions relating to "Amalgamation" as specified under Section 2(1B) and other relevant provisions of the Income-tax Act, 1961. If any terms or provisions of the Scheme are found or interpreted to be inconsistent with the provisions of the said section and other related provisions at a later date including resulting from a retrospective amendment of law or for any other reason whatsoever, till the time the Scheme becomes effective, the provisions of the said section and other related provisions of the Income-tax Act, 1961 shall prevail and the Scheme shall stand modified to the extent determined necessary to comply with Section 2(1B) and other relevant provisions of the Income-tax Act, 1961.

5. EMPLOYEES, STAFF AND WORKMEN

5.1 On the Scheme becoming effective, all employees of the Transferor Company on the Effective Date, shall be deemed to have become employees of the Transferee Company, without any break in their service and the terms and conditions of their employment with the Transferee Company shall not be less favourable than those applicable to them with reference to the Transferor Company on the Effective Date. The Transferee Company undertakes to continue to abide by any agreement/settlement, if any, validly entered into by the Transferor Company with any union/employee of the Transferor Company recognized by the Transferor Company. It is hereby clarified that the accumulated balances, if any, standing to the credit of the employees in the existing provident fund, gratuity fund and superannuation

fund of which the employees of the Transferor Company are members shall be transferred to such provident fund, gratuity fund and superannuation fund of the Transferee Company or to be established and caused to be recognized by the Appropriate Authorities, by the Transferee Company. It is clarified that the services of the employees of the Transferor Company will be treated as having been continuous, uninterrupted and taken into account for the purpose of the said fund or funds.

5.2 Pending the transfer as aforesaid, the provident fund, gratuity fund and superannuation fund dues of the employees of the Transferor Company would continue to be deposited in the existing provident fund, gratuity fund and superannuation fund respectively of the Transferor Company.

6. LEGAL PROCEEDINGS

6.1 Any suit, petition, appeal or other proceeding of whatsoever nature and any orders of court, judicial or quasi-judicial tribunal or other governmental authorities enforceable by or against the Transferor Company including without limitation any restraining orders (including order under section 281B of the Income-tax Act, 1961) pending before any court, judicial or quasi-judicial tribunal or any other forum, relating to the Transferor Company, whether by or against the Transferor Company, pending as on the Effective Date, shall not abate or be discontinued or in any way prejudicially affected by reason of the amalgamation of the Transferor Company or of any order of or direction passed or issued in the amalgamation proceedings or anything contained in this Scheme, but by virtue of the order sanctioning the Scheme, such legal proceedings shall be continued and any prosecution shall be enforced by or against the Transferee Company in the same manner and to the same extent as would or might have been continued, prosecuted and/or enforced by or against the Transferor Company, as if this Scheme had not been implemented.

6.2 After the approval of the Scheme by the Parties and until the Effective Date, the Transferor Company shall defend all legal proceedings, other than in the ordinary course of business, with the advice and instructions of the Transferee Company.

6.3 The transfer and vesting of the assets and liabilities under the Scheme and the continuance of the proceedings by or against the Transferee Company shall not affect any transaction or proceeding already completed by the Transferor Company between the Appointed Date and the Effective Date to the end and intent that the Transferee Company accepts all acts, deeds and things done and executed by and/or on behalf of the Transferor Company as acts, deeds and things done and executed by and on behalf of the Transferee Company.

7. PERMITS

With effect from the Appointed Date, all the Permits held or availed of by, and all rights and benefits that have accrued to, the Transferor Company, pursuant to the provisions of Section 232 of the Act, shall without any further act, instrument or deed, be transferred to, and vest in, or be deemed to have been transferred to, and vested in, and be available to, the Transferee Company so as to become as and from the Appointed Date, the Permits, estates, assets, rights, title, interests and authorities of the Transferee Company and shall remain valid, effective and enforceable on the same terms and conditions to the extent permissible in Applicable Laws. Upon the Effective Date and until the Permits are transferred, vested, recorded, effected, and/ or perfected, in the record of the Appropriate Authority, in favour of the Transferee Company, the Transferee Company is authorized to carry on business in the name and style of the Transferor Company, and under the relevant license and/ or permit and/ or approval, as the case may be, and the Transferee Company shall keep a record and/ or account of such transactions.

8. CONTRACTS, DEEDS, ETC.

8.1 All contracts, deeds, bonds, agreements, indemnities, guarantees or other similar rights or entitlements whatsoever, schemes, arrangements and other instruments, permits, rights, entitlements, licenses (including the licenses granted by any Governmental, statutory or regulatory bodies) for the purpose of carrying on the business of the Transferor Company, and in relation thereto, and those relating to tenancies, privileges, powers, facilities of every kind and description of whatsoever nature in relation to the Transferor Company, or to the benefit of which the Transferor Company may be eligible and which are subsisting or having effect immediately before this Scheme coming into effect, shall by endorsement, delivery or recordal or by operation of law pursuant to the order of the Authority sanctioning the Scheme, and on this Scheme becoming effective be deemed to be contracts, deeds, bonds, Agreements, indemnities, guarantees or other similar rights or entitlements whatsoever, schemes, arrangements and other instruments, permits, rights, entitlements, licenses (including the licenses granted by any Governmental, statutory or regulatory bodies) of the Transferee Company. It is clarified that all conditions, stipulations, pre-requisites, terms laid down under any Governmental, statutory or regulatory bodies, fulfilled by the Transferor Company prior to the Effective Date, shall be deemed to have been fulfilled and complied with by the Transferee Company, post the Effectiveness of the Scheme. The Transferee Company shall be entitled to the benefit of all qualification criteria, track-record, experience, goodwill and all other rights, claims and powers of whatsoever nature and whosesoever situate belonging to or in the possession of or granted in favour of or enjoyed by the Transferor Company for all intents and purposes for its business. Such properties and rights described hereinabove shall stand vested in the Transferee Company and shall be deemed to be the property and become the property by operation of law as an integral part of the Transferee Company. Such contracts and

properties described above shall continue to be in full force and continue as effective as hitherto in favour of or against the Transferee Company and shall be the legal and enforceable rights and interests of the Transferee Company, which can be enforced and acted upon as fully and effectually as if it were the Transferor Company.

8.2 Upon this Scheme becoming effective, the rights, benefits, privileges, duties, liabilities, obligations and interest whatsoever, arising from or pertaining to contracts and properties, shall be deemed to have been entered into and stand assigned, vested and novated to the Transferee Company by operation of law and the Transferee Company shall be deemed to be the Transferor Company' substituted party or beneficiary or obligor thereto. It is being always understood that the Transferee Company shall be the successor in the interest of the Transferor Company. In relation to the same, any procedural requirements required to be fulfilled solely by the Transferor Company, shall be fulfilled by the Transferee Company as if it were the duly constituted attorney of the Transferor Company.

8.3 The Transferee Company may, at any time after the coming into effect of this Scheme in accordance with the provisions hereof, if so required, under any law or otherwise, enter into, or issue or execute deeds, writings, confirmations, novation's, declarations, or other documents with, or in favour of any party to any contract or arrangement to which the Transferor Company is a party or any writings as may be necessary to be executed in order to give formal effect to the above provisions. The Transferee Company shall be deemed to be authorised to execute any such writings on behalf and in the name of the Transferor Company and to carry out or perform all such formalities or compliances required for the purposes referred to above on the part of the Transferor Company.

8.4 Without prejudice to the provisions of this Scheme, with effect from the Appointed Date, all inter-party transactions between the Transferor Company and the Transferee Company shall be considered as intra-party transactions for all purposes, from the Appointed Date. Any taxes (including tax deducted at source or dividend distribution tax) paid in relation to such transaction shall, to the extent permissible by applicable law, be claimed as a refund.

8.5 The Transferee Company shall be entitled to the benefit of all insurance policies which have been issued in respect of the Transferor Company and the name of the Transferee Company shall be substituted as "Insured" in the policies as if the Transferee Company was initially a party thereto.

8.6 Any inter-se contracts between the Transferor Company on the one hand and the Transferee Company on the other hand shall cease to operate upon the coming into effect of this Scheme.

9. TAXES/ DUTIES / CESS ETC.

9.1 The unutilized credits relating to excise duties, sales tax, service tax, VAT, GST or any other Taxes by whatever name called as applicable which remain unutilised in the electronic ledger of the Transferor Company shall be transferred to and vest in the Transferee Company. Thereafter the unutilized credit so specified shall be credited to the electronic credit ledger of the Transferee Company and the input and capital goods shall be duly adjusted by the Transferee Company in its books of account.

9.2 Taxes of whatsoever nature including advance tax, self-assessment tax, regular assessment taxes, tax deducted at source, dividend distribution tax, minimum alternative tax, wealth tax, if any, paid by the Transferor Company shall be treated as paid by the Transferee Company and it shall be entitled to claim the credit, refund, adjustment for the same as may be applicable notwithstanding that challans or records may be in the name of Transferor Company. Minimum Alternate Tax credit available to the Transferor Company under the Income-tax Act, 1961, if any, shall vest in and be available to the Transferee Company.

9.3 Upon scheme becoming effective, the Transferor Company (if required) and the Transferee Company are expressly permitted to revise their financial statements and its income tax returns along with prescribed forms, filings and annexures under the Income-tax Act, 1961 and other statutory returns, including but not limited to tax deducted / collected at source returns, service tax returns, excise tax returns, sales tax / VAT / GST returns, as may be applicable. The Transferee Company has expressly reserved the right to make such provision in its returns and to claim refunds, advance tax credits, credit of tax under Section 115JB of the Income-tax Act, 1961 read with section 115JAA of the Income Tax Act, 1961, i.e. credit of minimum alternate tax, credit of dividend distribution tax, credit of tax deducted at source, credit of foreign taxes paid/withheld, etc. if any, as may be required for the purposes of/consequent to implementation of this Scheme, even if the prescribed time limits for filing or revising such returns have lapsed without incurring any liability on account of interest, penalty or any other sum. All compliances done by Transferor Company will be considered as compliances by Transferee Company.

9.4 It is hereby clarified that in case of any refunds, benefits, incentives, grants, subsidies, etc. under Income-tax Act, 1961, service tax laws, excise duty laws, central sales tax, applicable state value added tax laws, GST laws, any incentive scheme or policies or any other applicable laws/ regulations dealing with taxes/ duties/ levies due to Transferor Company shall stand vested to the Transferee Company upon this Scheme becoming effective.

9.5 All tax assessment proceedings/ appeals of whatsoever nature by or against the Transferor Company pending and/or arising shall be continued and/or enforced until the Effective Date by the Transferor

Company. In the event of the Transferor Company failing to continue or enforce any proceeding/appeal, the same may be continued or enforced by the Transferee Company, at the cost of the Transferee Company. As and from the Effective Date, the tax proceedings shall be continued and enforced by or against the Transferee Company in the same manner and to the same extent as would or might have been continued and enforced by or against the Transferor Company.

9.6 Further, the aforementioned proceedings shall not abate or be discontinued nor be in any way prejudicially affected by reason of the amalgamation of the Transferor Company with the Transferee Company or anything contained in the Scheme.

10. CONSIDERATION

10.1 Upon coming into effect of the Scheme, and in consideration for the transfer and vesting of the business of Transferor Company with Transferee Company, Transferee Company shall, without any application or deed, issue and allot fully paid up shares to the members of Transferor Company whose names appear in the register of members of Transferor Company as on the Record Date 1, or to such of their respective heirs, executors, administrators or other legal representatives or other successors in title as may be recognized by the Board of Directors of Transferor Company, in the following ratio:

"35(thirty five) equity shares of JCIPL of Rs. 10/- each fully paid up for every 2 (two) equity shares of JITPL of Rs. 10/- each fully paid up."

10.2 JCIPL shares issued, pursuant to Clause 10.1 above, shall be issued and allotted in a demat form to the equity shareholders of the Transferor Company, in the manner as stipulated in Clause 10.1 above and shall be credited to depository account of the members of the Transferor Company.

10.3 Inter-company shareholdings, if any, as on the Appointed Date, amongst the Transferor Company and Transferee Company shall stand cancelled pursuant to this scheme.

10.4 Upon the Scheme becoming effective, the issued, subscribed and paid up share capital of JCIPL shall be automatically cancelled and reduced by Rs. 19,80,000 being the face value of 1,98,000 equity shares held by JITPL in JCIPL, in terms of section 66 of the Act. Further, upon the Scheme becoming effective, equity shares held by JCIPL in JITPL representing issued, subscribed and paid up share capital of JITPL shall stand cancelled and extinguished by Rs. 3,20,000 being the face value of 32,000 equity shares held by JCIPL in JITPL .

10.5 The above cancellation of inter-company shareholdings shall result in reduction of capital under section 66 of the Act. However, since the aforesaid reduction is consequential and is proposed as an integral part of the Scheme, the Transferee Company shall not be required to

undertake separate procedure under section 66 of the Act. Further, as the aforesaid reduction does not result in either diminution of liability in respect of unpaid share capital or payment to any shareholder of any paid up share capital, the provisions of section 66 of the Act shall not be applicable. The order of the NCLT sanctioning the scheme shall be deemed to be the Order under section 66 of the Act for the purpose of confirming reduction. Further, the Transferee Company shall not be required to add "and reduced" as a suffix to its name consequent upon such reduction.

10.6 In case any member's shareholding in Transferor Company is such that on the basis of the aforesaid exchange ratio of shares, the member is entitled to a fraction of new equity share which exceeds one-half share, such member shall, in lieu of such fraction, be entitled to receive allotment of one New Equity Share of Transferee Company. On the other hand, if the shareholding of any member in Transferor Company is such that on the basis of the aforesaid exchange ratio of shares, the member is entitled to a fraction of New Equity Share which is less than or equal to one-half share, then such fraction shall be ignored and such member shall not be entitled to receive any New Equity Share of Transferee Company in lieu of such fraction.

10.7 Transferee Company shall take necessary steps to increase or alter, if necessary, its authorised Share Capital suitably to enable it to issue and allot the Equity shares pursuant to this Scheme.

10.8 Transferee Company, shall, if and to the extent required, apply for and obtain any approvals from concerned regulatory authorities for the issue and allotment of equity shares, under the Scheme.

10.9 Equity shares of Transferee Company to be issued to the respective shareholders of Transferor Company as above shall be subject to the Memorandum and Articles of Association of Transferee Company and shall rank *paripassu* with the existing equity shares of Transferee Company in all respects including dividends.

10.10 Approval of this Scheme by the shareholders of Transferee Company shall be deemed to be the due compliance of the provisions of Section 62 of the Companies Act, 2013 and the other relevant and applicable provisions of the Act for the issue and allotment of equity shares by Transferee Company to the shareholders of Transferor Company, as provided in this Scheme.

10.11 Upon the issue and allotment of New Equity Shares to the shareholders of Transferor Company, whose names appear on the Register of Members of Transferor Company the Record Date 1, the share certificates in relation to the shares held by them in Transferor Company shall be deemed to have been cancelled.

11. ACCOUNTING TREATMENT IN THE BOOKS OF THE TRANSFEREE COMPANY

On the Scheme becoming effective, the Transferee Company shall account for the amalgamation in its books as under:

11.1 On the Scheme becoming effective, Transferee Company shall account for the amalgamation, in its books with effect from the Appointed Date, as per the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) prescribed under Section 133 of the Act and the accounting treatment prescribed below, to the extent consistent with Ind AS:

11.1.1 Transferee Company shall, record all the assets and liabilities, including reserves, profits and loss, of Transferor Company, vested in it pursuant to this Scheme, at their respective book values as on the Appointed Date. No adjustments shall be made to reflect fair values, or recognize any new assets or liabilities.

11.1.2 The equity shares of the Transferee Company held by the Transferor Company shall stand cancelled in accordance with Clause 10.4. of the Scheme and as a result equivalent equity share capital of the Transferee Company and the book value of investments held by the Transferor Company in the Transferee Company recorded as per Clause 11.1.1 above shall stand cancelled.

11.1.3 The inter-se, inter-co balances between Transferor Company and Transferee Company appearing in the books of accounts of Transferee Company, if any, shall stand cancelled.

11.1.4 Transferee Company shall credit in its books of account, face value of the shares issued to the shareholders of Transferor Company pursuant to the Scheme of its share capital account.

11.1.5 The difference, if any, being excess of book value over liabilities including reserves of Transferor Company transferred to Transferee Company, after making adjustments as stated above, shall be adjusted against reserves of Transferee Company.

11.2 In case of any differences in accounting policy between Transferor Company and Transferee Company, the impact of the same till the Appointed Date will be quantified and adjusted to the reserves in the Balance Sheet of Transferee Company to ensure that the financial statements of Transferee Company reflect the financial position on the basis of consistent accounting policy.

11.3 It is, however, clarified that the Board of Directors of Transferor Company and Transferee Company, in consultation with the respective statutory auditors, may account for the merger in such

manner as to comply with the provisions of section 133 of the Companies Act, 2013, the applicable accounting standards and other applicable provisions, if any.

12. CONDUCT OF BUSINESS FROM APPOINTED DATE UPTO THE EFFECTIVE DATE:

12.1 The Transferor Company with effect from the date of approval of the Scheme by Board of the Parties and until the Effective Date:

12.1.1 shall be deemed to have been carrying on and shall carry on its business and activities and shall be deemed to have held and stood possessed of and shall hold and stand possessed of the assets for and on account of, and in trust for the Transferee Company;

12.1.2 all profits or income arising or accruing to the Transferor Company and all taxes paid thereon (including but not limited to advance tax, tax deducted at source, minimum alternate tax, dividend distribution tax, securities transaction tax, taxes withheld/paid in a foreign country, etc.) or losses arising or incurred by the Transferor Company shall, for all purposes, be treated as and deemed to be the profits or income, taxes or losses, as the case may be, of the Transferee Company; and

12.1.3 all loans raised and all liabilities and obligations incurred by the Transferor Company after the Appointed Date and prior to the Effective Date, shall, subject to the terms of this Scheme, be deemed to have been raised, used or incurred for and on behalf of the Transferee Company in which the undertaking of the Transferor Company shall vest in terms of this Scheme and to the extent they are outstanding on the Effective Date, shall also, without any further act or deed be and be deemed to become the debts, liabilities, duties and obligations of the Transferee Company.

12.2 From the Effective Date, the Transferee Company shall carry on and shall be entitled to carry on the business of the Transferor Company.

12.3 The Transferee Company shall be entitled, pending the sanction of the Scheme, to apply to the Appropriate Authority and all other agencies, departments and authorities concerned as are necessary under any law for such consents, approvals and sanctions which the Transferee Company may require, to carry on the business of the Transferor Company and to give effect to the Scheme.

12.4 The Transferee Company shall be entitled to credit the tax paid including credit of the tax deducted at source and input tax credit under the GST law in relation to The Transferor Company, for the period between the Appointed Date and the Effective Date.

12.5 For the purpose of giving effect to the amalgamation order passed under Sections 230 to 232 and other applicable provisions of the Act in respect of this Scheme by the Authority, the Transferee Company shall, at any time pursuant to the orders approving this Scheme, be entitled to get the recordal of the change in the legal right(s) upon the amalgamation of the Transferor Company, in accordance with the provisions of Sections 230 to 232 of the Act. The Transferee Company is and shall always be deemed to have been authorized to execute any pleadings, applications, forms, etc, as may be required to remove any difficulties and facilitate and carry out any formalities or compliances as are necessary for the implementation of this Scheme.

13. SAVING OF CONCLUDED TRANSACTIONS

The vesting of the undertaking of the Transferor Company as above and the continuance of proceedings by or against the Transferor Company shall not affect any transaction or proceedings already concluded on or after the Appointed Date till the Effective Date in accordance with this Scheme, to the end and intent that the Transferee Company accepts and adopts all acts, deeds and things done and executed by the Transferor Company in respect thereto as done and executed on behalf of the Transferee Company.

14. COMBINATION OF AUTHORISED SHARE CAPITAL

14.1 Upon the Scheme becoming effective, the authorised share capital of the Transferor Company will get amalgamated with that of the Transferee Company without payment of any additional fees and duties as the said fees have already been paid. The authorised share capital of the Transferee Company will automatically stand increased to that effect by simply filing the requisite forms with the Registrar of Companies and no separate procedure or instrument or deed or payment of any stamp duty and registration fees shall be required to be followed under the Act.

14.3 The authorized share capital of the Transferee Company as on the Effective Date shall, accordingly, without any further act, deed, matter, or thing, stand increased to Rs. 60,10,00,000/- (Rupees Sixty Crores Ten Lakhs Only) divided into 6,01,00,000 (Six Crores One Lakh) Equity Shares of Rs. 10/- each. The existing capital **Clause V** contained in the Memorandum of Association of the Transferee Company shall without any act, instrument or deed be and stand altered, modified and amended pursuant to Sections 13, 61 and 64 of the Act and Section 232 and other applicable provisions of the Act, as set out below:

Memorandum of Association

"The Authorised Share Capital of the Company is Rs. 60,10,00,000/- (Rupees Sixty Crores Ten Lakhs Only) divided into 6,01,00,000 (Six Crores One Lakh) Equity Shares of INR 10 each."

14.4 It is clarified that the approval of this Scheme under Sections 230 to 232 of

the Companies Act, 2013 shall also be deemed to be approvals under sections 13, 61, 64 of the Companies Act, 2013 and other applicable provisions of the Act and any other consents and approvals required in this regard to give effect to the increase in authorized share capital. The filing of the certified copy of this Scheme as sanctioned by the Tribunal, in terms of Section 230 to 232 of the Act and any other applicable provisions of the Act, together with the order of the Tribunal and a printed copy of the Memorandum of Association for the purposes of the applicable provisions of the Act and the RoC shall register the same and make the necessary alterations in the Memorandum of Association of the Transferee Company accordingly and shall certify the registration thereof in accordance with the applicable provisions of the Act.

15. VALIDITY OF EXISTING RESOLUTIONS, ETC.

Upon the coming into effect this Scheme, the resolutions/ power of attorney of/ executed by the Transferor Company, as are considered necessary by the Board of the Transferor Company, and that are valid and subsisting on the Effective Date, shall continue to be valid and subsisting and be considered as resolutions and power of attorney passed/ executed by the Transferee Company, and if any such resolutions have any monetary limits approved under the provisions of the Act, or any other applicable statutory provisions, then said limits as are considered necessary by the Board of the Transferee Company shall be added to the limits, if any, under like resolutions passed by the Transferee Company and shall constitute the aggregate of the said limits in the Transferee Company.

16. DISSOLUTION OF THE TRANSFEROR COMPANY

Upon the effectiveness of this Scheme, the Transferor Company shall be dissolved without winding up, and the Board and any committees thereof of the Transferor Company shall without any further act, instrument or deed be and stand ceased and discharged. The name of the Transferor Company shall be struck off from the records of the RoC and the Transferee Company shall make necessary filings in this regard and no separate consent / approval of the Transferee's shareholders shall be required under applicable provisions of the Act.

DEMERGER AND VESTING OF THE DEMERGED UNDERTAKING INTO THE RESULTING COMPANY

17. DEMERGER AND VESTING OF THE DEMERGED UNDERTAKING

17.1 Upon this Scheme becoming effective and implementation thereof and with effect from the Appointed Date and subject to the provisions of this Scheme and pursuant to Sections 230 to 232 of the Act, the Demerged Undertaking along with all its assets, liabilities, investments, contracts, arrangements, employees, Permits, records etc. shall, without any further act, instrument or deed, be demerged from the Demerged Company and transferred to and be vested in or be deemed to have been transferred to and vested in the Resulting Company as a going concern so as to become as on and from the Appointed Date, the assets, liabilities, investments, contracts, arrangements, employees, Permits, records etc. of the Resulting Company by virtue of operation of law and in the manner provided in this Scheme.

17.2 In respect of such of the assets and properties forming part of the Demerged Undertaking which are movable in nature (including but not limited to all intangible assets) or are otherwise capable of transfer by delivery or possession or by endorsement, the same shall stand transferred by the Demerged Company to the Resulting Company upon coming into effect of this Scheme and shall, *ipso facto* and without any other order to this effect, become the assets and properties of the Resulting Company without requiring any deed or instrument of conveyance for transfer of the same.

17.3 All rights, title and interests in the agreements (including agreements for lease or license of the properties), investments in shares, mutual funds, bonds and any other securities, sundry debtors, claims from customers or otherwise, outstanding loans and advances, if any, recoverable in cash or in kind or for value to be received, bank balances and deposits, if any, with any Appropriate Authority, customers and other Persons, whether or not the same is held in the name of the Demerged Company, the same shall, without any further act, instrument or deed, be transferred to and vested in and/or be deemed to be transferred to and vested in the Resulting Company, with effect from the Appointed Date by operation of law as transmission in favour of Resulting Company. With regard to the licenses of the properties, the Resulting Company will enter into novation agreements, if it is so required.

17.4 In respect of such of the assets and properties forming part of the Demerged Undertaking which are immovable in nature, whether or not included in the books of the Demerged Company, including rights, interest and easements in relation thereto, the same shall stand transferred to and be vested in the Resulting Company with effect from the Appointed Date, without any act or deed or conveyance being required to be done or executed by the Demerged Company and/or the Resulting Company.

17.5 The Demerged Company may, at its sole discretion but without being obliged

to, give notice in such form as it may deem fit and proper, to such Persons, as the case may be, that any debt, receivable, bill, credit, loan, advance, debenture or deposit relating to the Demerged Undertaking stands transferred to and vested in the Resulting Company and that appropriate modification should be made in their respective books/records to reflect the aforesaid changes.

17.6 Upon effectiveness of the Scheme, all debts, liabilities, debentures, loans, obligations and duties of the Demerged Company as on the Appointed Date and relatable to the Demerged Undertaking ("**Demerged Liabilities**") shall, without any further act, instrument or deed, be and stand transferred to and be deemed to be transferred to the Resulting Company to the extent that they are outstanding as on the Appointed Date and the Resulting Company shall meet, discharge and satisfy the same. The term "**Demerged Liabilities**" shall include without limitation:

17.6.1 the debts, liabilities, debentures and obligations incurred and duties of any kind, nature or description (including contingent liabilities) which arise out of the activities or operations of the Demerged Undertaking;

17.6.2 the specific loans, credit facilities, overdraft facilities and borrowings (including debentures, bonds, notes and other debt securities) raised, incurred and utilized solely for the activities or operations of the Demerged Undertaking, including Loan; and

17.6.3 in cases other than those referred to in Clause 17.6.1 or 17.6.2 above, so much of the amounts of general or multipurpose borrowings, if any, of the Demerged Company, as stand in the same proportion which the value of the assets transferred pursuant to the demerger of the Demerged Undertaking bear to the total value of the assets of the Demerged Company immediately prior to the Appointed Date.

In so far as indirect tax liabilities are concerned, in particular, any liability with respect to the goods and service tax, value added tax, purchase tax, sales tax or any other duty or tax in relation to the Demerged Undertaking and pertaining to the period prior to the Appointed Date, including all or any liability pertaining to the period prior to the Appointed Date, shall be treated as liability of the Resulting Company, to the extent permissible under Applicable Law.

17.7 In so far as any Encumbrance in respect of Demerged Liabilities is concerned, such Encumbrance shall, without any further act, instrument or deed being required to be taken or modified, be extended to and shall operate only over the assets comprised in the Demerged Undertaking which have been Encumbered in respect of the Demerged Liabilities as transferred to the Resulting Company pursuant to the Scheme. Provided that, if any of the assets comprised in the Demerged Undertaking which are being transferred to the Resulting Company pursuant to this Scheme have not been Encumbered in respect of the Demerged Liabilities, such assets shall remain unencumbered and the existing Encumbrance referred to above shall not be extended to and shall not operate over such assets. The absence of any formal amendment which may be required by a lender or trustee or third party shall not affect the operation of the above. For the avoidance of doubt,

it is hereby clarified that in so far as the assets comprising the Remaining Business are concerned, the Encumbrance, if any, over such assets relating to the Demerged Liabilities shall without any further act, instrument or deed being required, be released and the Demerged Company shall be discharged from the obligations and Encumbrances relating to the same. Further, in so far as the assets comprised in the Demerged Undertaking are concerned, the Encumbrance over such assets relating to any loans, borrowings or other debts which are not transferred to the Resulting Company pursuant to this Scheme and which continue with the Demerged Company shall without any further act, instrument or deed be released from such Encumbrance and shall no longer be available as security in relation to such liabilities.

17.8 If the Demerged Company is entitled to any unutilized credits (including accumulated losses and unabsorbed depreciation), benefits under the state or central fiscal / investment incentive schemes and policies or concessions relating to the Demerged Undertaking under any Tax law or Applicable Law, the Resulting Company shall be entitled, as an integral part of the Scheme, to claim such benefit or incentives or unutilised credits as the case may be without any specific approval or permission. Without prejudice to the generality of the foregoing, in respect of unutilized TDS credits, Minimum Alternate Tax credits and input credits of goods and service tax of the Demerged Company, the portion which will be attributed to the Demerged Undertaking and be transferred to the Resulting Company shall be determined by the Board of the Demerged Company in accordance with the Applicable Law.

17.9 Upon the Scheme becoming effective, the Demerged Company and the Resulting Company shall have the right to revise their respective financial statements and returns along with prescribed forms, filings and annexures under the Tax laws and to claim refunds and/or credit for Taxes paid and for matters incidental thereto, if required, to give effect to the provisions of this Scheme, even if the prescribed limits or revising such returns have lapsed without incurring any liability on account of interest, penalty or any other sum. It is further clarified that the Resulting Company shall be entitled to claim deduction under Section 43B of the Income Tax Act in respect of unpaid liabilities transferred to it as part of the Demerged Undertaking to the extent not claimed by the Demerged Company, as and when the same are paid subsequent to Appointed Date.

17.10 Subject to Clause 17 and any other provisions of the Scheme, in respect of any refund, benefit, incentive, grant or subsidy in relation to or in connection with the Demerged Undertaking, the Demerged Company shall, if so required by the Resulting Company, issue notices in such form as the Resulting Company may deem fit and proper, stating that pursuant to the Tribunal having sanctioned this Scheme, the relevant refund, benefit, incentive, grant or subsidy be paid or made good to or held on account of the Resulting Company, as the Person entitled thereto, to the end and intent that the right of the Demerged Company to recover or realise the same stands transferred to the Resulting Company and that appropriate entries should be passed in their respective books to record the aforesaid changes.

17.11 On and from the Effective Date, all cheques and other negotiable instruments and payment orders received or presented for encashment which are in the name of the Demerged Company and are in relation to or in connection with the Demerged Undertaking, shall be accepted by the bankers of the Resulting Company and credited to the account of the Resulting Company, if presented by the Resulting Company.

17.12 Without prejudice to the provisions of the foregoing sub-clauses of this Clause 17 and upon the effectiveness of this Scheme, the Demerged Company and the Resulting Company may execute any and all instruments or documents and do all acts, deeds and things as may be required, including filing of necessary particulars and/ or modification(s) of charge with the concerned RoC or filing of necessary applications, notices, intimations or letters with any Appropriate Authority or Person to give effect to the Scheme.

18. PERMITS

18.1 With effect from the Appointed Date, the Permits relating to the Demerged Undertaking shall be transferred to and vested in the Resulting Company and the concerned licensor and grantors of such Permits shall endorse where necessary and record the name of Resulting Company on such Permits so as to empower and facilitate the approval and vesting of the Demerged Undertaking in the Resulting Company and continuation of operations pertaining to the Demerged Undertaking in the Resulting Company without any hindrance and the Permits shall stand transferred to and vested in, and shall be deemed to be transferred to and vested in the Resulting Company without any further act, instrument or deed and shall be appropriately mutated by the Appropriate Authorities concerned therewith in favour of the Resulting Company as if the same were originally given by, issued to or executed in favour of the Resulting Company and the Resulting Company shall be bound by the terms thereof, the obligations and duties thereunder, and the rights and benefits thereunder shall be available to the Resulting Company.

18.2 The benefit of all Permits pertaining to the Demerged Undertaking shall, without any other order to this effect, transfer to and vest in and become available to the Resulting Company pursuant to the sanction of this Scheme by the Tribunal.

18.3 Notwithstanding the generality of the foregoing provisions, all electricity, gas, water and other utility connections and tariff rates in respect thereof sanctioned by various public sector and private companies, boards, agencies and authorities in different states pertaining to the Demerged Undertaking, together with security deposits and all other advances paid, shall stand automatically transferred in favour of the Resulting Company on the same terms and conditions without any further act, instrument, deed, matter or thing being made, done or executed.

19. CONTRACTS

19.1 All contracts, deeds, bonds, agreements, indemnities, guarantees or other similar rights or entitlements whatsoever, schemes, arrangements and other instruments, rights, entitlements, licenses for the purpose of carrying on the business of the Demerged Undertaking and other assets pertaining to the Demerged Undertaking, and in relation thereto, and those relating to tenancies, privileges, powers, facilities of every kind and description of whatsoever nature in relation to the Demerged Undertaking, or to the benefit of which the Demerged Company may be eligible and which are subsisting or having effect immediately before this Scheme coming into effect, shall by endorsement, by delivery or recordal or by operation of law pursuant to the order of the Tribunal sanctioning the Scheme, and on this Scheme becoming effective be deemed to be contracts, deeds, bonds, agreements, indemnities, guarantees or other similar rights or entitlements whatsoever, schemes, arrangements and other instruments, rights, entitlements and licenses (including licenses granted by any Appropriate Authority) of the Resulting Company. Such properties and rights described hereinabove shall stand vested in the Resulting Company and shall be deemed to be the property and become the property by operation of law as an integral part of the Resulting Company. Such contracts and properties described above shall continue to be in full force and continue as effective as hitherto in favour of or against the Resulting Company and shall be the legal and enforceable rights and interests of the Resulting Company, which can be enforced and acted upon as fully and effectually as if it were the Demerged Company. Upon this Scheme becoming effective, the rights, benefits, privileges, duties, liabilities, obligations and interest whatsoever, arising from or pertaining to contracts and properties relating to the Demerged Undertaking, shall be deemed to have been entered into and stand assigned, vested and novated to the Resulting Company by operation of law and the Resulting Company shall be deemed to be the Demerged Company's substituted party or beneficiary or obligor thereto, it being always understood that the Resulting Company shall be the successor in interest of the Demerged Company in relation to the properties or rights mentioned hereinabove.

19.2 Without prejudice to the other provisions of this Scheme and notwithstanding the fact that vesting of the Demerged Undertaking occurs by virtue of this Scheme, the Resulting Company may, at any time after the coming into effect of this Scheme, in accordance with the provisions hereof, if so required under any Applicable Law or otherwise, take such actions and execute such deeds (including deeds of adherence), confirmations, other writings or tripartite arrangements with any party to any contract or arrangement to which the Demerged Company is a party or any writings as may be necessary in order to give effect to the provisions of this Scheme. With effect from the Appointed Date, the Resulting Company shall, under the provisions of this Scheme, be deemed to be authorized to execute any such writings on behalf of the Demerged Company and to carry out or perform all such formalities or compliances referred to above, on the part of the Demerged Company with respect to Demerged Undertaking.

19.3 On and from the Effective Date, and thereafter, the Resulting Company shall be entitled to enforce all pending contracts and transactions and issue

credit notes on behalf of the Demerged Company, in relation to or in connection with the Demerged Undertaking, in the name of the Resulting Company in so far as it may be necessary until the transfer of rights and obligations of the Demerged Undertaking to the Resulting Company under this Scheme have been given effect to under such contracts and transactions.

20. EMPLOYEES, STAFF AND WORKMEN

20.1 Upon the effectiveness of this Scheme and with effect from the Effective Date, the Resulting Company undertakes to engage, without any interruption in service, all employees, staff and workmen of the Demerged Company engaged in or in relation to the Demerged Undertaking, on terms and conditions no less favorable than those on which they are engaged by the Demerged Company. The Resulting Company undertakes to continue to abide by any agreement/ settlement or arrangement entered into or deemed to have been entered into by the Demerged Company with any of the aforesaid employees or union representing them. The Resulting Company agrees that the services of all such employees with the Demerged Company prior to the demerger shall be taken into account for the purposes of all existing benefits to which the said employees may be eligible, including for the purpose of payment of any retrenchment compensation, gratuity and other retiral/ terminal benefits. The decision on whether or not an employee is part of the Demerged Undertaking shall be decided by the Demerged Company, and such decision shall be final and binding on all concerned Parties.

20.2 The accumulated balances, if any, standing to the credit of the aforesaid employees in the existing provident fund, gratuity fund and superannuation fund of which they are members, as the case may be, will be transferred respectively to such provident fund, gratuity fund and superannuation funds nominated by the Resulting Company and/or such new provident fund, gratuity fund and superannuation fund to be established in accordance with Applicable Law and caused to be recognized by the Appropriate Authorities, by the Resulting Company. Pending the transfer as aforesaid, the provident fund, gratuity fund and superannuation fund dues of the said employees would be continued to be deposited in the existing provident fund, gratuity fund and superannuation fund respectively of the Demerged Company.

21. LEGAL PROCEEDINGS

21.1 Upon coming into effect of this Scheme, all suits, actions, administrative proceedings, tribunals proceedings, show cause notices, demands and legal proceedings of whatsoever nature by or against the Demerged Company pending and/or arising on or before the Appointed Date or which may be instituted any time thereafter and in each case relating to the Demerged Undertaking shall not abate or be discontinued or be in any way prejudicially affected by reason of this Scheme or by anything contained in this Scheme but shall be continued and be enforced by or against the

Resulting Company with effect from the Appointed Date in the same manner and to the same extent as would or might have been continued and enforced by or against the Demerged Company. Except as otherwise provided herein, the Demerged Company shall in no event be responsible or liable in relation to any such legal or other proceedings that stand transferred to the Resulting Company. The Resulting Company shall be replaced/added as party to such proceedings and shall prosecute or defend such proceedings at its own cost, in cooperation with the Demerged Company and the liability of the Demerged Company shall consequently stand nullified. The Demerged Company shall in no event be responsible or liable in relation to any such legal or other proceedings in relation to the Demerged Undertaking.

21.2 The Resulting Company undertakes to have all legal and other proceedings initiated by or against the Demerged Company transferred to its name as soon as is reasonably practicable after the Effective Date and to have the same continued, prosecuted and enforced by or against the Resulting Company to the exclusion of the Demerged Company on priority. Both Parties shall make relevant applications and take all steps as may be required in this regard.

21.3 Notwithstanding anything contained hereinabove, if at any time after the Effective Date, the Demerged Company is in receipt of any demand, claim, notice and/ or is impleaded as a party in any proceedings before any Appropriate Authority, in each case in relation to the Demerged Undertaking, the Demerged Company shall, in view of the transfer and vesting of the Demerged Undertaking pursuant to this Scheme, take all such steps in the proceedings before the Appropriate Authority to replace the Demerged Company with the Resulting Company. However, if the Demerged Company is unable to get the Resulting Company replaced in such proceedings, the Demerged Company shall defend the same or deal with such demand in accordance with the advice of the Resulting Company and at the cost of the Resulting Company and the latter shall reimburse to the Demerged Company all liabilities and obligations incurred by the Demerged Company in respect thereof.

22. CONSIDERATION

22.1 Upon this Scheme becoming effective and upon vesting of the Demerged Undertaking of Demerged Company in Resulting Company in terms of this Scheme and in consideration for the Demerger of the Demerged Undertaking into Resulting Company, Resulting Company shall without any further application or deed, issue and allot shares, credited as fully paid up, to all the equity shareholders of Demerged Company whose names appear in the Register of Members of Demerged Company as on the Record Date 2, except where Resulting Company itself is a shareholder of Demerged Company, or to such of their respective heirs, executors, administrators or other legal representatives or other successors in title as may be recognized by the Board of Directors of Demerged Company, in the following ratio:

** 1(One) equity shares of JIPL of Rs. 10/- each fully paid up for every 100*

(One Hundred) equity shares of JCIPL of Rs. 10/- each fully paid up."

The equity shares to be issued pursuant to this Clause will be together referred to as "**New Shares**."

22.2 The New Shares shall be subject to the provisions of the memorandum of association and articles of association of the Resulting Company, including with respect to dividend, bonus, rights shares, voting rights and other corporate benefits attached to the New Shares.

22.3 The issue and allotment of the New Shares is an integral part hereof and shall be deemed to have been carried out under the orders passed by the Tribunal without requiring any further act on the part of the Resulting Company or the Demerged Company or their shareholders and as if the procedure laid down under the Act and such other Applicable Law as may be applicable, were duly complied with. It is clarified that the approval of the members of the Resulting Company to this Scheme, shall be deemed to be their consent/approval for the issue and allotment of the New Shares.

22.4 In case any shareholder's shareholding in the Demerged Company is such that such shareholder becomes entitled to a fraction of the New Share of the Resulting Company, the Resulting Company shall round the same up to the next whole number.

22.5 In the event the Parties restructure their share capital by way of share split/consolidation/issue of bonus shares during the pendency of the Scheme, the share allotment ratio set out in Clause 22.1 shall be adjusted accordingly to consider the effect of such corporate action without requirement of any further approval from the Appropriate Authority.

22.6 It is clarified that the approval of the members of the Resulting Company to this Scheme shall be deemed to be their consent/ approval also to the consequential alteration of its memorandum of association and articles of association pursuant to Clause 22 of this Scheme and the Resulting Company shall not be required to seek separate consent/ approval of its shareholders for such alteration, as required under Sections 13, 14, 42, 61, 64, and other applicable provisions of the Act.

22.7 The Resulting Company shall, to the extent required, increase and/ or reclassify its authorized share capital in order to issue New Shares. Further, the Resulting Company shall comply with the provisions of the Act to increase and/ or reclassify its authorized share capital.

23. ACCOUNTING TREATMENT

The Demerged Company and Resulting Company shall comply with applicable accounting standards in relation to the underlying transactions in the Scheme including but not limited to the following:

Accounting Treatment in the books of Demerged Company:

23.1 Upon the Scheme becoming effective, Demerged Company shall account for demerger in its books of accounts with effect from the Appointed Date in the following manner:

23.1.1 Demerged Company shall reduce the book value of assets and liabilities relating or pertaining to the Demerged Undertaking transferred to Resulting Company from its books of accounts as appearing in its books at the close of business on the day immediately preceding the Appointed Date.

23.1.2 The excess of the book value of assets transferred over the book value of liabilities transferred shall be adjusted against the Retained Earnings of Demerged Company.

Accounting Treatment in the books of the Resulting Company:

23.2 Upon the Scheme becoming effective, Resulting Company shall account for demerger in its books of accounts with effect from the Appointed Date in the following manner:

23.2.1 All the assets and liabilities recorded in the books of Demerged Company related to Demerged Undertaking shall be transferred to and vested in Resulting Company pursuant to the Scheme and shall be recorded by Resulting Company at their respective book values.

23.2.2 The excess or deficit, if any, remaining after recording entries shall be credited/debited by the Resulting Company to its Capital Reserve Account, as the case may be.

23.2.3 In case of any difference in the accounting policies of the Demerged Company and the Resulting Company, the impact of the same will be quantified and adjusted in the reserves of the Resulting Company to ensure that the Financial Statements of the Resulting Company reflect the financial position on the basis of consistent accounting policy.

24. Inter-Company balances, loans and advances, and other balance and obligations, if any, will stand cancelled.

25. In case of any differences in accounting policy of Demerged Company and Resulting Company related to the Demerged Undertaking, then accounting policies followed by Resulting Company will prevail and the difference till the Appointed Date shall be adjusted against Capital Reserve of Resulting Company, to ensure that the financial statements of Resulting Company reflect the financial position on the basis of consistent accounting policy.

26. It is, however, clarified that the Board of Directors of Demerged Company and Resulting Company, in consultation with the respective statutory auditors, may account for the demerger in such manner as to comply with

the provisions of section 133 of the Companies Act, 2013, the applicable accounting standards and other applicable provisions, if any.

27. AUTHORISED SHARE CAPITAL OF THE RESULTING COMPANY

27.1 As an integral part of the Scheme, and, upon the coming into effect of this Scheme, the authorised share capital of the Resulting Company shall automatically stand amended, without any further act, instrument or deed on the part of the Resulting Company, such that upon the coming into effect of this Scheme, the authorised share capital of the Resulting Company shall be Rs. 58,13,460, without any further act or deed. Clause V of the Memorandum of Association of the Resulting Company shall, upon the coming into effect of this Scheme and without any further act or deed, be replaced by the following clause:

> *"V. The Authorised Share Capital of the Company is Rs. 58,13,460 /- (Rupees **Fifty Eight Lakhs Thirteen Thousand Four Hundred Sixty**) divided into 5,81,346 (**Five Lakhs Eighty One Thousand Three Hundred Forty Six**) Equity Shares of Rs. 10/- (Rupees Ten only) each"*

27.2 It is hereby clarified that the approval of the shareholders of the Resulting Company to the Scheme shall be deemed to be their consent/approval also to the consequential alteration of the Memorandum of Association of the Resulting Company and the Resulting Company shall not be required to seek separate consent/approval of its shareholders for such alteration of the Memorandum of Association of the Resulting Company as required under Sections 13 and 61 of the Act.

27.3 Upon the coming into effect of this Scheme, the Resulting Company shall file the requisite forms with the Registrar of Companies, Gujarat, for alteration of its authorised share capital and shall pay necessary fees as may be required to be paid in accordance with law.

28. REMAINING BUSINESS

28.1 The Remaining Business of the Demerged Company and all the assets, liabilities and obligations pertaining thereto shall continue to belong to and be vested in and be managed by each of the Demerged Company subject to the provisions of the Scheme.

28.2 All Proceedings by or against the Demerged Company under any statute, pending on the Effective Date and relating to the Remaining Business of Demerged Company (including those relating to any property, right, power, liability, obligation or duties of the Demerged Company in respect of its Remaining Business) shall be continued and enforced by or against Demerged Company. The Resulting Company shall in no event be responsible or liable in relation to any such Proceedings by or against the Demerged Company.

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29. BUSINESS UNTIL EFFECTIVE DATE

29.1 In case the Effective Date is later than the Appointed Date, the Demerged Company with effect from the Appointed Date and up to and including the Effective Date:

29.1.1 shall be deemed to have been carrying on and shall carry on its business and activities in relation to the Demerged Undertaking and shall be deemed to have held and stood possessed of the Demerged Undertaking and shall hold and stand possessed of the assets of the Demerged Undertaking for and on account of, and in trust for the Resulting Company;

29.1.2 all profits or income arising or accruing to the Demerged Company in relation to the Demerged Undertaking and all taxes paid thereon (including but not limited to advance tax, tax deducted at source, minimum alternate tax, dividend distribution tax, securities transaction tax, taxes withheld/paid in a foreign country, etc.) or losses arising or incurred by the Demerged Company shall, for all purposes, be treated as and deemed to be the profits or income, taxes or losses of the Resulting Company;

29.1.3 all loans raised and all liabilities and obligations incurred by the Demerged Company after the Appointed Date and prior to the Effective Date in relation to the Demerged Undertaking, shall, subject to the terms of this Scheme, be deemed to have been raised, used or incurred for and on behalf of the Resulting Company, in which the relevant Demerged Undertaking shall vest in terms of this Scheme and to the extent they are outstanding on the Effective Date, shall also, without any further act, instrument or deed be and be deemed to become the debts, liabilities, duties and obligations of the Resulting Company.

29.2 For the purpose of giving effect to the order passed under Sections 230 to 232 and other applicable provisions of the Act in respect of this Scheme by the Tribunal, the Resulting Company shall, at any time pursuant to the orders approving this Scheme, be entitled to get the recordal of the change in the legal right(s) upon the demerger of the Demerged Undertaking, in accordance with the provisions of Sections 230 to 232 of the Act. The Resulting Company shall always be deemed to have been authorized to execute any pleadings, applications, forms etc., as may be required to remove any difficulties and facilitate and carry out any formalities or compliances as are necessary for the implementation of this Scheme. For the purpose of giving effect to the vesting order passed under Section 232 of the Act in respect of this Scheme, the Resulting Company shall be entitled to exercise all rights and privileges and be liable to pay all taxes and charges and fulfil all obligations in relation to or applicable to all immovable properties including mutation and/or substitution of the ownership or the title to or interest in the immovable properties which shall be made and duly recorded by the Appropriate Authorities in favour of the Resulting Company, pursuant to the sanction of this Scheme by the Tribunal and upon the

effectiveness of this Scheme in accordance with the terms hereof, without any further act or deed to be done or executed by the Resulting Company. It is clarified that the Resulting Company shall be entitled to engage in such correspondence and make such representations, as may be necessary, for the purposes of the aforesaid mutation and/or substitution.

30. PROPERTY IN TRUST

30.1 Notwithstanding anything contained in this Scheme, on or after Effective Date, until any property, asset, license, approval, permission, contract, agreement and rights and benefits arising therefrom pertaining to the Demerged Undertaking are transferred, vested, recorded, effected and/ or perfected, in the records of any Appropriate Authority, regulatory bodies or otherwise, in favour of the Resulting Company, such company is deemed to be authorized to enjoy the property, asset or the rights and benefits arising from the license, approval, permission, contract or agreement as if it were the owner of the property or asset or as if it were the original party to the license, approval, permission, contract or agreement. It is clarified that till entry is made in the records of the Appropriate Authorities and till such time as may be mutually agreed by the relevant Parties, the Demerged Company will continue to hold the property and/or the asset, license, permission, approval, contract or agreement and rights and benefits arising therefrom, as the case may be, in trust for and on behalf of the Resulting Company.

PART IV

GENERAL TERMS & CONDITIONS

31. APPLICATIONS/PETITIONS TO THE TRIBUNAL

31.1 The Parties shall dispatch, make and file all applications and petitions under Sections 230 to 232 and other applicable provisions of the Act before the Tribunal, under whose jurisdiction the registered offices of the respective Parties are situated, for sanction of this Scheme under the provisions of Applicable Law and shall apply for such approvals as may be required under Applicable Law.

31.2 The Parties shall be entitled, pending the sanction of the Scheme, to apply to any Appropriate Authority, if required, under any Applicable Law for such consents and approvals which the Parties may require to own the assets and/or liabilities of the respective Undertakings and to carry on the business of the respective Undertakings.

32. MODIFICATION OR AMENDMENTS TO THIS SCHEME

32.1 On behalf of each of the Parties, the Board of the respective Parties acting themselves or through authorized Persons, may consent jointly but not individually, on behalf of all Persons concerned, to any modifications or amendments to this Scheme at any time and for any reason whatsoever, or to any conditions or limitations that the Tribunal or any other Appropriate Authority may deem fit to direct or impose or which may otherwise be considered necessary, desirable or appropriate by all of them (i.e., the Boards of the Parties) and solve all difficulties that may arise for carrying out this Scheme and do all acts, deeds and things necessary for putting this Scheme into effect.

32.2 For the purposes of giving effect to this Scheme or to any modification hereof, the Boards of the Parties acting themselves or through authorized Persons may jointly but not individually, give and are jointly authorised to give such directions including directions for settling any question of doubt or difficulty that may arise and such determination or directions, as the case may be, shall be binding on all Parties, in the same manner as if the same were specifically incorporated in this Scheme.

32.3 The Transferor Company, Transferee Company/Demerged Company and the Resulting Company shall each be at liberty to withdraw the scheme in entirety in case any condition or alteration imposed by the Tribunal or appropriate authority is unacceptable to them or as may otherwise be deemed expedient or necessary.

32.4 In the event of revocation/ withdrawal of the Scheme, no rights and liabilities whatsoever shall accrue to or be incurred inter-se Transferor Company, Transferee Company/Demerged Company, and the Resulting Company or the respective shareholders or creditors or employees or any

other person except in respect of any act or deed done prior thereto as is contemplated hereunder or as to any right, liability or obligation which has arisen or accrued pursuant thereto and which shall be governed and preserved or walk out as is specifically provided in the Scheme or in accordance with the applicable law and as agreed between the parties and in such case, each party shall bear its own cost unless mutually agreed.

32.5 It is hereby clarified that submission of this Scheme to the Tribunal and to the Appropriate Authorities for their respective approvals is without prejudice to all rights, interests, titles or defences that the Parties may have under or pursuant to all Applicable Law.

32.6 On the approval of this Scheme by the shareholders of the Parties and such other classes of Persons relating to the Parties, if any, such shareholders and classes of Persons shall also be deemed to have resolved and accorded all relevant consents under the Act or otherwise to the same extent applicable to all the matters related or arising pursuant to the Scheme.

33. COSTS AND EXPENSES

All costs, charges and expenses payable in relation to or in connection with this Scheme and incidental to the completion of the transfer and vesting of the Demerged Undertaking of the Demerged Company in the Resulting Company and transfer and vesting of assets and liabilities of Transferor Company to Transferee Company respectively in pursuance of this Scheme including stamp duty on the order(s) of the Tribunal, if any, to the extent applicable and payable shall be borne and paid by the Transferee Company in terms of the Part-II of the Scheme and shall be borne and paid by the Resulting Company in terms of Part-III of the Scheme, except in the event of this Scheme not taking effect as provided in Clause above in which case, each company shall bear and pay its own costs, charges and expenses incurred in relation to or in connection with this Scheme.

34. SEVERABILITY

If any part of this Scheme is found to be unworkable or unviable for any reason whatsoever, the same shall not, subject to the decision of the Board of Directors of the Companies, affect the validity or implementation of the other parts and/or provisions of this Scheme.

35. CONDITIONS PRECEDENT

This Scheme is and shall be conditional upon and subject to:

35.1. the approval by the respective requisite majority of the shareholders and/or creditors (where applicable) of the Companies in accordance with the Act ;

35.2. the Tribunal having accorded its sanction to the Scheme ;

35.3. certified copies of the order(s) of the Tribunal, sanctioning the Scheme, being filed with the Registrar of Companies, Gujarat, by all the Companies.

36. EFFECT OF NON-RECEIPT OF APPROVALS

In the event of any of the said sanctions and approvals referred to in the preceding Clause not being obtained and/or the Scheme not being sanctioned by the Tribunal, this Scheme shall stand revoked, cancelled and be of no effect, save and except in respect of any act or deed done prior thereto as is contemplated hereunder or as to any rights and/or liabilities which might have arisen or accrued pursuant thereto and which shall be governed and be preserved or worked out as is specifically provided in the Scheme or as may otherwise arise in law. Each party shall bear and pay its respective costs, charges and expenses for and or in connection with the Scheme.

37. MISCELLANEOUS

If any part of this Scheme hereof is invalid, ruled illegal by any Tribunal of competent jurisdiction or unenforceable under present or future laws, then it is the intention of the parties to the Scheme that such part shall be severable from the remainder of the Scheme, and the Scheme shall not be affected thereby, unless the deletion of such part shall cause this Scheme to become materially adverse to any party, in which case the parties to the Scheme shall attempt to bring about a modification in the Scheme, as will best preserve for such parties the benefits and obligations of the Scheme, including but not limited to such part.

CP (CAA) NO.60/NCLT/AHM/2022
CONNECTED WITH
CA (CAA) NO. 19/NCLT/AHM/2022

SCHEDULE OF ASSETS

As at April 1, 2022

(Opening)

Name of the Transferor Company	**Jay Chemical Industries Private Limited – Construction Chemical Division**
Corporate Identification Number (CIN)	U24119GJ2000PTC037683
Registered Office	Jay House, B/h. Saffron Building, Near Panchvati Circle, Ambawadi, Ahmedabad – 380006
Permanent Account Number (PAN)	There is no separate PAN for construction chemical division
Tax Deduction & Collection Account Number (TAN)	There is no separate TAN for construction chemical division
GST Registration Number	There is no separate GST number for construction chemical division
Bank Account Details	There is no separate Bank Account for construction chemical division
Fixed Deposit	--
Other investments	--

IMMOVALBE PROPERTIES (Value as per books as at April 1, 2022)
Land situated at Survey No. 263/P1, 263/P2, 263/P, 264/P1 & 264/P2 of village Vasna – Iyava, Taluka Sanand, District Ahmedabad – Rs. 33,40,888/- (Area – 80,635 sq. mt.)
Building situated at Survey No. 263/P1, 263/P2, 263/P, 264/P1 & 264/P2 of village Vasna – Iyava, Taluka Sanand, District Ahmedabad – Rs. 2,83,10,592/-

Property, Plant and Equipment (Written down value as per books as at April 1, 2022)	
(1) Plant & Machinery	Rs. 1,87,94,410/-
(2) Office Equipments	Rs. 1,82,862/-
(3) Electric Installation	Rs. 4,31,925/-
(4) Computer Systems	Rs. 16,297/-
(5) Furniture	Rs. 4,27,873/-
(6) R & D and Laboratory Equipments	Rs. 5,49,172/-
(7) Vehicles	Rs. 28,80,185/-

For JAY CHEMICAL INDUSTRIES PRIVATE LIMITED

UTSAV PANDWAR
CFO

CP (CAA) NO.60/NCLT/AHM/2022
CONNECTED WITH
CA (CAA) NO. 19/NCLT/AHM/2022

SCHEDULE OF ASSETS

As at April 1, 2022

(Opening)

Name of the Transferor Company	**Jay Infa Trade Private Limited**
Corporate Identification Number (CIN)	U51909GJ1990PTC014227
Registered Office	Jay House, B/h. Saffron Building, Near Panchvati Circle, Ambawadi, Ahmedabad – 380006
Permanent Account Number (PAN)	AAACJ3800C
Tax Deduction & Collection Account Number (TAN)	AHMJO1691E
GST Registration Number	24AAACJ3800C1ZD
Bank Account Details	1. Current Account with South Indian Bank Account No. – 0179073000010647 2. Current Account with Bank of Baroda Account No. – 08490200000786
Fixed Deposit	--
Other Investments	Non-Current Investments 1. 1,98,000 shares held in Jay Chemical Industries Private Limited - Rs. 50,000/- 2. Other Investments – Rs. 25,000/-

IMMOVALBE PROPERTIES AS PER VALUE IN BOOKS AS ON MARCH 31, 2022
Land situated at Plot No. 661/B, Jay House, B/h. Saffron Complex, Near Panchvati Circle, Ambawadi, Ahmedabad 380006 – Rs. 23,92,922/- (Area – 690 Sq. Mt. as per 7/12 statement)
Building 1. Building situated at Plot No. 661/B, Jay House, B/h. Saffron Complex, Near Panchvati Circle, Ambawadi, Ahmedabad 380006 – Rs. 12,38,407/- 2. Building situated at Survey No. 5507/C1 and 5508/C1, Vatva GIDC Phase IV, Ahmedabad – Rs. 74,10,811/-

Property, Plant and Equipment (Written down value as per books as at March 31, 2022)	
(1) Electric Installation	Rs. 7,26,326/-
(2) Furniture	Rs. 2,10,860/-

For JAY INFA TRADE PRIVATE LIMITED

RAVI KABRA
Director
DIN: 00080979